Copy No: _____ Furnished to:_____

OFFERING MEMORANDUM

BSP ABSOLUTE RETURN FUND OF FUNDS LTD.

Fund Manager:
BSP Advisors Ltd.

Administrator:
CITCO FUND SERVICES (CAYMAN ISLANDS) LIMITED

Depositary:
CITCO CUSTODY LIMITED

INVESTMENT IN THE FUND CARRIES SUBSTANIAL RISK. THESE SECURITIES ARE SUITABLE FOR SOPHISTICATED INVESTORS WHO ARE NON-US PERSONS OR PERMITTED US PERSONS, WHO DO NOT REQUIRE IMMEDIATE LIQUIDITY FOR THEIR INVESTMENTS, FOR WHOM AN INVESTMENT IN THE FUND DOES NOT CONSTITUTE A COMPLETE INVESTMENT PROGRAM, AND WHO FULLY UNDERSTAND AND ARE WILLING TO ASSUME THE HIGH LEVEL OF RISK INVOLVED IN THE FUND'S INVESTMENT PROGRAM. INVESTMENT IN THE FUND IS DESIGNED ONLY FOR PERSONS WHO ARE ABLE TO BEAR THE RISK OF SUBSTANTIAL OR COMPLETE LOSS OF THEIR CAPITAL CONTRIBUTIONS IN THE FUND AND THE UNDERLYING FUNDS (SEE FURTHER UNDER "CERTAIN RISK FACTORS"). SUBSCRIBERS FOR SHARES MUST REPRESENT THAT THEY ARE ACQUIRING THE SHARES FOR INVESTMENT. THIS OFFERING MEMORANDUM IS FOR INFORMATIONAL PURPOSES ONLY AND NO OFFER TO SELL OR SOLICITATION OF AN OFFER TO BUY IS BEING MADE IN ANY JURISDICTION IN WHICH SUCH OFFER OR SOLICITATION WOULD BE UNLAWFUL.

THIS CONFIDENTIAL OFFERING MEMORANDUM CONTAINS PROPRIETARY INFORMATION. NEITHER THIS DOCUMENT NOR SAID PROPRIETARY INFORMATION SHALL BE PUBLISHED, REPRODUCED, COPIED, DISCLOSED, OR USED FOR ANY PURPOSE OTHER THAN REVIEW AND CONSIDERATION OF THIS MATERIAL IN CONNECTION WITH A PROPOSED INVESTMENT IN THE FUND, UNLESS PRIOR WRITTEN APPROVAL WAS OBTAINED FROM THE FUND.

September 2018

OFFERING MEMORANDUM

BSP ABSOLUTE RETURN FUND OF FUNDS LTD.

BSP Absolute Return Fund of Funds Ltd. (the "**Fund**") is a Cayman Islands exempted company incorporated on 21 September 2006 to operate as a private investment fund.

This Offering Memorandum relates to the offering of US Dollar Shares (the "**Shares**" or "**Participating Shares**").

Absence of Regulation

The Fund is regulated under the Mutual Funds Law (2015 Revision) of the Cayman Islands. The Cayman Islands Monetary Authority has supervisory and enforcement powers to ensure compliance with the Mutual Funds Law. No Cayman Islands authority has passed judgment upon or approved the contents of this Offering Memorandum. The investment activities of the Fund will not be regulated or otherwise overseen by any Cayman Islands authority.

Other than registration with the Cayman Islands Monetary Authority, the offering of securities hereby has not been filed with or approved or disapproved by any regulatory authority of any country or jurisdiction (including Israel, the United States, Australia or the Cayman Islands), nor has any such regulatory authority passed upon or endorsed the merits of this Offering Memorandum or the accuracy or adequacy of this Offering Memorandum. Any representation to the contrary is unlawful.

The Fund has not been registered as an investment company under the United States Investment Company Act of 1940, as amended (the "**Investments Company Act**"), and the Fund Manager has not been registered as an investment adviser under the United States Investment Adviser Act of 1940, as amended (the "**Adviser Act**"), and investors will not be entitled to the benefits thereof.

Reliance on Offering Memorandum

The Shares are offered solely on the basis of the information and representations contained in this Offering Memorandum. Any information or representations not contained within this Offering Memorandum may not be relied upon as having been authorised by the Fund or its directors (the "**Directors**") and should be disregarded. This Offering Memorandum contains information in relation to the Fund and the offering of its shares (the "**Shares**") at the date hereof. It is subject to subsequent changes both as to applicable law and changes in investment policies and practice and neither the delivery of this Offering Memorandum nor the allotment or issue of Shares shall create any implication whatsoever that there has been no change in such law or the affairs of the Fund since the date hereof.

Prospective investors should carefully read this Offering Memorandum and the memorandum and articles of association of the Fund, as amended and restated from time to time (the "**Articles**") . The contents of this Offering Memorandum should not be considered to be legal or tax advice, and each prospective investor should consult with its own legal counsel and advisers as to all matters concerning an investment in the Fund.

Confidentiality

This confidential Offering Memorandum has been prepared solely for use by prospective investors and shall be maintained in strict confidence. Each recipient hereof acknowledges and agrees that the contents of this Offering Memorandum constitute the proprietary and confidential information of the Fund and that the Fund derives independent economic value from such information not being generally known and that such information is the subject of reasonable efforts to maintain its secrecy. The recipient further agrees that the contents of this Offering Memorandum are a trade secret, the disclosure of which will cause substantial and irreparable competitive harm to the affected parties or their respective businesses. The reproduction or distribution of this Offering Memorandum in whole or in part, the divulgence of any of its contents, or the use of the contents hereof for any purpose other than the evaluation of the acquisition of Shares in the Fund, without the prior written consent of the Fund, is prohibited.

Notwithstanding the foregoing, a recipient may provide this Offering Memorandum to its own legal, tax, accounting and other professional advisors bound by a duty of confidentiality solely for the purpose evaluating the Fund. The existence and nature of all conversation regarding the Fund and this Offering Memorandum must be kept strictly confidential. This Offering Memorandum will be returned to the Fund upon request. By accepting this Offering Memorandum, each recipient agrees to the foregoing.

Restrictions on Distribution

The distribution of this Offering Memorandum and the offering of Shares in certain jurisdictions is restricted. There will be no public offering of Shares and no offer to sell (or solicitation of an offer to buy) is being made in any jurisdiction in which such offer or solicitation would be unlawful. Therefore, Shares that are acquired by persons or a entity who are not eligible to hold them, will be compulsory redeemed as further described under "Compulsory Redemption of Shares".

It is the responsibility of any recipient of this Offering Memorandum and/or any Shareholder to confirm and observe all applicable laws, tax matters and regulations.

Notice to Residents of the European Economic Area

For the purposes of Directive 2011/61/EU of the European Parliament and the (European) Commission on Alternative Investment Fund Managers (the “Directive”), the fund will constitute a non-EU AIF whose AIFM is BSP Advisors Ltd., itself a non-EU AIFM (as each of the foregoing terms is defined in the Directive). As of the date hereof, each member state of the European Economic Area is adopting, or has adopted, domestic legislation implementing the Directive into its national law. Under the Directive, “marketing” (as defined in the Directive) in or to any investor domiciled or with a registered office in the European Economic Area will be restricted by such laws and no such marketing shall take place except as permitted by such laws. Prior to implementation of the Directive into member states’ national laws, shares in the fund may only be offered or placed in accordance with applicable laws or regulations in relevant

member states, and potential investors should ensure they are able to subscribe for shares in the fund in accordance with those laws or regulations.

Eligible Investors

Unless stated otherwise herein, interests in the fund can only be marketed to investors domiciled, or with a registered office, in a member state of the European Economic Area to those investors that are considered to be a professional client or may, on request, be treated as a professional client, within the meaning of Annex I to Directive 2004/39/EC of the European Parliament and the (European) Council on Markets in Financial Instruments ("MIFID").

This document is not a disclosure document for the purposes of the Corporations Act 2001 (Cth) and has not been lodged with the Australian Securities and Investment Commission nor is the Fund a registered or required to be registered as a Managed Investment Scheme. The offer of Shares in Australia under this Offering Memorandum is limited to Australian resident "wholesale clients", as defined in the Corporations Act 2001 (Cth). This Offering Memorandum does not constitute an offer to any person in Australia other than a "wholesale client" and may not be distributed to any person in Australia other than a "wholesale client".

For general guidance, prospective investors are urged to further review the particular restrictions on distribution as set out under "Geographical Restrictions on Distribution".

INVESTMENT IN THE FUND CARRIES SUBSTANTIAL RISK. THE SHARES ARE SUITABLE FOR SOPHISTICATED INVESTORS WHO ARE NON-US PERSONS OR PERMITTED US PERSONS, WHO DO NOT REQUIRE IMMEDIATE LIQUIDITY FOR THEIR INVESTMENTS, FOR WHOM AN INVESTMENT IN THE FUND DOES NOT CONSTITUTE A COMPLETE INVESTMENT PROGRAM, AND WHO FULLY UNDERSTAND AND ARE WILLING TO ASSUME THE HIGH LEVEL OF RISK INVOLVED IN THE FUND'S INVESTMENT PROGRAM. INVESTMENT IN THE FUND IS DESIGNED ONLY FOR PERSONS WHO ARE ABLE TO BEAR THE RISK OF SUBSTANTIAL OR COMPLETE LOSS OF THEIR CAPITAL CONTRIBUTIONS IN THE FUND AND THE UNDERLYING FUNDS (SEE FURTHER UNDER "CERTAIN RISK FACTORS".

* * * *

BSP ABSOLUTE RETURN FUND OF FUNDS LTD.

Registered Office: PO Box 309, Ugland House,
Grand Cayman, KY1 – 1104, Cayman Islands

DIRECTORY

DIRECTORS

Meir Cohen
Laurent Arnoux
Kevin A. Phillip

FUND MANAGER

BSP ADVISORS LTD.
PO Box 309
Ugland House
Grand Cayman, KY1 – 1104
Cayman Islands

AUDITORS

KPMG (CAYMAN ISLANDS)

P.O. Box 493 GT, Century Yard Building,
2nd Floor, Grand Cayman, Cayman Islands

ADMINISTRATOR

CITCO FUND SERVICES (CAYMAN ISLANDS) LIMITED
89 Nexus Way, Camana Bay, P.O. Box 31106,
Grand Cayman KY1-1205, Cayman Islands

DEPOSITARY

CITCO CUSTODY LIMITED
Level 2 West, Mercury Tower, The
Exchange Financial and Business Centre,
Elia Zammit Street
St Julians, MALTA
STJ3155

SUB-ADMINISTRATOR

CITCO FUND SERVICES (IRELAND) LIMITED
3rd Floor, Tellengana House
Blackrock Rock, Cork, Ireland

LEGAL ADVISERS TO THE FUND

As to Cayman Islands Law

Maples and Calder
PO Box 309
Ugland House
Grand Cayman, KY1 – 1104

Cayman Islands

TABLE OF CONTENTS

SUMMARY OF TERMS 1
INVESTMENT PROGRAM 6
THE FUND MANAGER 9
MANAGEMENT FEE AND PERFORMANCE FEE 11
BOARD OF DIRECTORS 15
THE ADMINISTRATOR 17
THE DEPOSITARY 19
CAPITAL STRUCTURE OF THE FUND 20
OFFERING OF SHARES 21
REDEMPTION OF SHARES 23
COMPULSORY REDEMPTION OF SHARES 24
DETERMINATION OF NET ASSET VALUE 25
SUSPENSION OF REDEMPTIONS; SUSPENSION OF THE DETERMINATION OF NET ASSET VALUE 28
OTHER FEES AND EXPENSES 29
TAX ASPECTS 30
REGULATORY MATTERS 34
ANTI-MONEY LAUNDERING REGULATIONS 35
FISCAL YEAR 36
LEGAL COUNSEL 37
INDEPENDENT AUDITORS; REPORTS 37
CONFLICTS OF INTEREST 38
SOFT COMMISSIONS 39
MISCELLANEOUS 47
APPENDIX A: GEOGRAPHICAL RESTRICTION ON DISTRIBUTION
APPENDIX B: SUBSCRIPTION AGREEMENT
APPENDIX C: REDEMPTION FORM
APPENDIX D: SHARE CLASS TERMS AND CONDITIONS

BSP ABSOLUTE RETURN FUND OF FUNDS LTD.

SUMMARY OF TERMS

The following is a summary of certain information set forth more fully elsewhere in this Offering Memorandum, the Articles and the Service Agreements (as that term is defined below). This summary should be read in conjunction with, and potential investors should refer to, the more detailed information set out in the corresponding sections in the main section of this Offering Memorandum and the various documents referred to herein. **Capitalized terms used herein are as described under "Definitions"**. References to "dollars" or "$" are to United States Dollars.

THE FUND: The Fund is a Cayman Islands exempted company with limited liability incorporated on 21 September 2006 which is an open-ended investment company for the benefit of non-US investors and US tax-exempt investors or entities comprised primarily of US tax-exempt investors.

INVESTMENT PROGRAM: The investment objective of the Fund is to seek to provide consistent long-term appreciation of assets through active investment in a diversified portfolio of Underlying Funds.

Initially, the Fund will seek to achieve its investment objective primarily through investment in a selection of Underlying Funds which will be chosen in accordance with a particular Investment Approach as described hereinafter.

Each Underlying Fund has a distinct investment objective and approach and which, as part of a portfolio of assets, will form a diversified basket of hedge fund investments.

The Fund Manager will seek to construct a portfolio of investments comprising the Underlying Funds which offers investors the opportunity to participate in a diverse blend of hedge fund investments, whilst also offering a superior risk based approach through utilizing proprietary optimization techniques.

There can be no assurance that the investment objective of the Fund will be achieved, and certain investment practices to be employed by the Underlying Funds can, in some circumstances, substantially increase any adverse impact on the Fund's investment portfolio.

FUND MANAGER: BSP ADVISORS LTD is a Cayman Islands exempted company incorporated with limited liability on 21 September 2006. It has been formed to act as Fund Manager to the Fund and is responsible for the management of the Fund including, inter alia, advising the Fund with respect to various Service Agreements with Service Providers to the Fund and the investment allocation of the Fund's assets amongst the Underlying Funds subject to the stated terms in this Offering Memorandum and subject to the overall supervision, control and policies of the Directors.

MANAGEMENT FEE AND PERFORMANCE FEE:

Subject and pursuant to Appendix D – which forms an integral part of this Offering Memorandum, the Fund will pay to the Fund Manager a monthly Management Fee in arrears equal to one and half per cent (1.5%) per annum (0.125% per month) of the Net Asset Value of the Fund as at each Valuation Day.

The Fund Manager will also be entitled to receive a Performance Fee from the Fund calculated on a Share-by-Share basis so that each Share is charged a Performance Fee which equates precisely with that Share's performance. The Performance Fee will be calculated in respect of each Calculation Period. The Performance Fee will be deemed to accrue on a monthly basis as at each Valuation Day.

Subject to the Hurdle rate, for each Calculation Period, the Performance Fee in respect of each Share will be equal to ten per cent (10%) of the appreciation in the Net Asset Value per Share of that class during that Calculation Period above the Base Net Asset Value per Share of that class. In case of transfer of Shares, such Shares will be treated as if they were issued on the date of acquisition at the then most recent subscription price of the relevant class for these purposes. The Performance Fee in respect of each Calculation Period will be calculated by reference to the Net Asset Value before deduction for any accrued Performance Fees.

The Performance Fee will be paid only on such increase that is in excess of 1.25% per quarter (5% per Annum – the "**Hurdle**"). The Hurdle is not cumulative from year to year. Thus, if the Hurdle is not achieved in a year, the shortfall is not carried forward into subsequent years.

The Performance Fee will normally be payable to the Fund Manager in arrears within 30 Business Days of the end of each Calculation Period. However, in the case of Shares redeemed during a Calculation Period, the accrued Performance Fee in respect of those Shares will be payable within 30 Business Days after the date of redemption.

Directors may chose in the future to issue additional classes of Shares, which carry different rights, including as to Management Fee, Performance Fee, Hurdle, redemption terms and denomination in different currencies.

RISK FACTORS:

The investment program of the Fund is speculative and entails substantial risks. See "Certain Risk Factors".

OTHER ACTIVITIES OF MANAGEMENT; CONFLICTS OF INTEREST:

Certain inherent conflicts of interest arise from the fact that the Fund Manager and its affiliates will provide management and investment management services to the Fund and may carry on investment activities for other clients, including other investment funds, client accounts and proprietary accounts in which the Fund will have no interest and whose respective investment programs may or may not be substantially similar.

BOARD OF DIRECTORS:

The directors of the Fund (the "**Directors**") will convene physically or via electronic means, at least four times a year to review and assess the investment policies and performance of the Fund, and generally to supervise the conduct of its affairs.

THE ADMINISTRATOR

The Administrator of record will be Citco Fund Services (Cayman Islands) Limited which will provide certain administrative, accounting, registrar and transfer agency services for the Fund. The Administrator will delegate certain services to Citco Fund Services (Ireland) Limited (the "**Sub-Administrator**").

See "**The Administrator**".

THE DEPOSITARY

Citco Custody Limited (the "**Depositary**") has been appointed by the Fund to provide depositary and order processing services.

See "**The Depositary**".

THE SHARES:

The authorised share capital of the Fund is US$50,000 divided into 10 voting non-participating Founder Shares, with a par value of US$1.00 each ("**Founder Shares**"), and 4,999,000 non-voting Participating Shares, with a par value of US$0.01 each ("**Participating Shares**" or "**Shares**") – all of which are currently available for issue as US Dollar Shares only. The Founder Shares are not being offered pursuant to this Offering Memorandum and will be held by the Fund Manager. The Founder Shares carry the exclusive right to vote at general meetings of the Fund. See below "Capital Structure of the Fund".

The Fund is authorized to and may in the future issue further classes of Participating Shares, which may have different rights, privileges and terms, including as to redemption terms, management and performance fees and may be denominated in different currencies than those offered pursuant to this Offering Memorandum.

OFFERING OF SHARES:

Shares will initially be issued in classes as prescribed in Appendix D.

The initial classes of shares will be available for subscription during the Initial Offer at a price of US$100 per Share. Thereafter

Shares of each class will be available for subscription on Subscription Days at the prevailing Net Asset Value per Share of the relevant class.

The Directors are authorised to close the Fund (or any class) to new subscriptions either for a specified period or until they otherwise determine and either in respect of all investors or new investors only. See below "Offering of Shares".

MINIMUM SUBSCRIPTION:

Unless otherwise determined by the Directors, the minimum initial subscription is $500,000 which may be lowered by the Directors, but not below $100,000. Unless otherwise determined by the Directors, the minimum subscription for additional Shares is $100,000.

SALE AND TRANSFER RESTRICTIONS:

Shares may only be offered, sold and transferred to Qualifying Investors.

REDEMPTIONS:

During the period of twelve months from the date of initial subscription, Shares may not be redeemed (the "**Lock-up Period**"). Thereafter, Shares may be redeemed as of each Redemption Day. Any redemption request must be received by the Sub-Administrator by 6.00 p.m. (Irish time) at least 96 Calendar Days prior to the relevant Redemption Day. The Directors may waive the Lock-up Period, any redemption fee or notice requirements or permit redemptions under such other circumstances and on such conditions as they, in their sole and absolute discretion, deem appropriate.

With respect to partial redemptions, redemption requests may be refused if, immediately thereafter, the value of such Shareholder's Shares would be less than the Minimum Holding.

Payment of the redemption proceeds for redeemed Shares will be made as soon as possible but, in any event, not later than 30 Business Days after the Redemption Day.

Pursuant to the Articles, Shares may be subject to compulsory redemption, inter alia, in the event of Shares being held by or for the account of anyone who is not a Qualifying Investor or where the value of the Shares is below the Minimum Holding. This list is not conclusive and investors are urged to further review "Compulsory Redemption of Shares".

NET ASSET VALUE:	The Net Asset Value of the Fund will be equal to its total assets less its total liabilities (including the par value of the Founder Shares) as of each Valuation Day and any other date of determination. The Net Asset Value per Share is determined by first allocating any increase or decrease in the Net Asset Value of the Fund for the period of calculation among each class of Shares pro *rata* in accordance with their Net Asset Value at the beginning of such period. Any Performance Fee or Management Fee determined with respect to a particular class will be debited against the Net Asset Value of such class. The Net Asset Value of each class will then be divided by the number of Shares of such class in issue. The publication of the Net Asset Value will take place within 25 Calendar Days after the Valuation Day.
OTHER FEES AND EXPENSES:	The Administrator will receive customary fees that will be paid out of the assets of the Fund. The Fund will bear its own ongoing operating costs and expenses.
TAXATION:	On the basis of current Cayman Islands law and practice, the Fund will not be liable to taxation in the Cayman Islands.
REGULATORY MATTERS:	The Fund is regulated under the Cayman Islands Mutual Funds Law (2015 Revision). Save as aforesaid, no regulatory filings will be made in any country and the Fund will not be qualified for sale to the public in any country.
DIVIDENDS:	Dividends may be paid at the sole and absolute discretion of the Board of Directors. It is not anticipated that the Fund will pay dividends.
FISCAL YEAR:	The Fund's fiscal year ends on 31 December of each year. The first fiscal year of the Fund was 31 December 2008.
AUDITORS; REPORTS TO SHAREHOLDERS:	KPMG (Cayman Islands) has been retained as the independent auditors of the Fund. An annual report and audited financial statements will be sent to Shareholders as soon as practicable or at the latest within six months of the end of the fiscal year.
LEGAL COUNSEL:	Maples and Calder have acted as Cayman Islands counsel to the Fund in connection with this offering of Shares. In connection with this offering of Shares and ongoing advice to the Fund, Maples and Calder will not be representing Shareholders of the Fund. No independent counsel has been retained to represent Shareholders of the Fund.
SUBSCRIPTION FOR SHARES:	Persons interested in subscribing for Shares will be furnished with, and will be required to complete, execute and return to the Sub-Administrator, an application form. See also "Offering Of Shares" hereinabove.

THE FUND

BSP Absolute Return Fund of Funds Ltd. is a Cayman Island exempted company incorporated with limited liability on 21 September 2006 under the provisions of the Companies Law (2018 Revision) with registered number 174407.

The Fund has been formed for the benefit of non-US persons and US tax-exempt investors (or entities comprised primarily of US tax-exempt investors). The Fund will invest substantially all of its capital in a diversified portfolio of Underlying Funds as specified hereinafter.

INVESTMENT PROGRAM

Investment Objective

The investment objective of the Fund is to provide consistent long-term appreciation of assets through active investment in a diversified portfolio of Underlying Funds.

There can be no assurance that the Fund will achieve its investment objective.

Investment Approach

Initially, the Fund intends to achieve its investment objective primarily through investment in a selection of chosen Underlying Funds (chosen in accordance with an Investment Approach described hereinafter), each of which on its own has a distinct investment objective and approach and which, as part of a portfolio of assets, will form a diversified basket of hedge fund investments.

The Fund Manager will seek to construct a portfolio of investments comprising the Underlying Funds which offers investors the opportunity to participate in a diverse blend of hedge fund investments, whilst also offering a superior risk based approach. The Fund Manager will utilize proprietary optimization techniques for this purpose.

There can be no assurance that this investment approach will enable the Fund to achieve its investment objective.

Initially, the Fund intends to achieve its investment objective through investing in all or a selection of Underlying Funds that have an investment approach primarily, but not exclusively, according to the following strategies:

Relative Value Strategies

This strategy seeks to profit by capitalizing on the miss-pricing of related securities or financial instruments. A position is taken when an investment deviates from its fair value or historical norm. Relative value strategies can be based on a formula, statistics or fundamental analysis. Over time the instrument's miss-pricing is expected to return to its theoretical or fair value.

- **Fixed Income Arbitrage** is where fund managers seek to exploit pricing anomalies within and across global fixed income markets usually using leverage to enhance returns. The distortion in historical relationships can be due to factors such as investor preferences, exogenous shocks to supply or demand, or structural features of the fixed income market. This category includes interest rate swaps arbitrage, Government and non-Government bond arbitrage, yield curve arbitrage, mortgage backed securities arbitrage etc.

- **Equity Market Neutral** is designed to produce consistent returns with very low volatility and correlation in a variety of market environments. Typically equity market neutral funds have long and short equity portfolios of the same size. Equity market neutral funds tend to be quantitative in their construction with trading opportunities identified using historical data.

- **Convertible Arbitrage** is where managers seek to exploit pricing anomalies between convertible bonds which are exchangeable into the underlying equity of the company at some time in the future. A typical investment is to be long the convertible bond and short the common stock in the same company. Positions are designed to generate profits from the fixed income security as well as the short sale of the stock, while protecting capital from market moves. Major risk factors, some of which may be hedged, including: interest rate, credit, liquidity and corporate event risk.

Event Driven Strategies

These strategies exploit opportunities arising from valuation imbalances between different securities of companies in significant corporate events such as mergers, spin offs, bankruptcies or reorganizations. Prices of the securities involved in the event are typically influenced more by the dynamics of the particular event rather than the general movement of the underlying market. Typically the strategy relies largely on fundamental research of the company but will extend to extensive research on the legal and regulatory risks.

- **Merger Arbitrage** usually involves being long the stock of the company being acquired and short the stock of the acquiring company. The arbitrage position is not entered into until after the corporate action is taken; the hedge fund does not try to anticipate the corporate action. Typically, after a takeover is announced the stock of the company being acquired will trade below the tender price. The arbitrageur buys the stock and the main risk is that the deal is rejected, either by regulators or Shareholders. Market risk is typically hedged by investing in a number of deals. Some liquidity risk may also exist, particularly if smaller capitalization stocks are involved. Some capacity risk may exist as merger activity is typically cyclical in nature. These funds are usually leveraged.

- **Distressed Securities** funds invest in debt or equity of companies that are in financial or operational difficulty, which generally trade at substantial discounts to par value. The strategy exploits the fact that many investors are unable to hold below investment grade securities and the securities are not well covered by analysts. Distressed security specialists will usually take a strategic holding in the security, hold it during the restructuring period, and expect it to appreciate towards fair value after the restructuring is complete. In buying distressed securities the arbitrageur takes on credit risk, as securities are usually below investment grade. In addition, there is interest rate risk as these securities are long duration assets. Generally, the funds involved in buying distressed securities have long only positions and low leverage. The funds are long term in nature and may have long redemption periods.

Directional Strategies

Typically managers of equity hedge funds are seeking to exploit opportunities in individual companies or sectors, sometimes with a regional bias. The strategies involve buying under-valued securities and short selling over-valued securities.

- **Long/Short Equity** is the largest sector within this strategy. The fund manager's objective is to generate absolute returns and not necessarily beat an index. They have the freedom to use leverage, take short positions and hedge long positions. By employing short positions, managers may enhance their return, hedge market risk and earn interest. This is in addition to the performance of their long portfolio.

- **Emerging Markets** hedge funds typically tend to be more volatile than hedge funds in developed markets. Hedging facilities like futures and options are limited in these markets and hence funds tend to have a long bias. The principal risk exposures are country/company credit rating and liquidity. While many investors avoid investment in regions where information is scarce, accounting standards are weak, political and economic turmoil is prevalent and experienced management is in short supply, others see these as inefficiencies which can result in undetected, undervalued and under researched securities.

- **Dedicated Short Selling** funds have only short positions. They sell a stock short, receive the proceeds of the sale and a liability to return the borrowed stock at some time in the future.

- **Global Macro** funds have the most flexible investment policy and strategies. They operate in very liquid and efficient markets such as fixed income, foreign exchange, financial and physical commodities and equity index futures. Macro hedge funds move from opportunity to opportunity, from trend to trend and from strategy to strategy.

It is intended that the Fund will invest in approximately 15-25 Underlying Funds. This estimate may change from time to time.

The investment approaches described above are not the sole criteria by which the Fund will chose the Underlying Funds into which the Fund will invest. Other approaches may be favored over time, as the Fund continues to pursue its investment objectives.

Investment restrictions

The policy of the Fund will be to maintain a diversified portfolio so as to spread the investment risk. In addition, the Fund does not intend to do any of the following:

(A) invest in any one Underlying Fund more than 20 per cent of its gross assets;

(B) invest in real property or physical commodities; or

(C) take or seek to take legal or management control of any Underlying Fund in which it invests.

Save where specified to the contrary, the above restrictions (A) – (C) apply as at the date of the relevant transaction or initial commitment to invest. Where any restriction is breached, the Fund Manager must ensure that immediate corrective action is taken except where any of the limits contained in such restrictions have become breached as a result of any of the following: appreciation or depreciation in the value of assets held by the Underlying Funds; or changes in exchange rate; or by reason of the receipt of any right, bonus or benefit in the nature of capital; or by reason of any other action affecting every holder of the relevant investment. In such circumstances, no further relevant securities will be acquired until the limits are again complied with.

THE FUND MANAGER

BSP ADVISORS LTD., a Cayman Islands exempted company incorporated with limited liability on 21 September 2006, has been appointed as Fund Manager to the Fund. The Fund Manager is excluded from the requirement to obtain a licence under the Cayman Islands Securities Investment Business Law (2015 Revision) as it will be providing its securities investment business services solely to a high net worth person (being a company whose assets exceed $5 million). The directors of the Fund Manager are **Meir Cohen**, **Riyaz Nooruddin** and **Vumi Dube**.

The Fund Manager and its affiliates (including its and their directors, officers, members and employees) may subscribe directly or indirectly for Shares and may invest a proportion of the Performance Fee into the Fund.

The Fund Manager is not registered, but may in the future register, as an "investment adviser" under the US Investment Advisers Act of 1940, as amended. Additionally, the Fund Manager is exempt from registration with the CFTC as a commodity pool operator pursuant to CFTC Rule 4.13(a)(4). The Fund Manager is not registered as a portfolio manager pursuant to the Regulation of Investment Advice, Investment Marketing and Portfolio Management Services (1995) Act in Israel.

The Fund Manager was appointed pursuant to a Management Agreement with the Fund, dated 22 April 2008 (the "**Management Agreement**") as may be amended from time to time. Under the Management Agreement, the Fund Manager is responsible for the management of the Fund including, inter alia, advising the Fund with respect to the service agreements with other Service Providers and the investment allocation of the Fund's assets amongst the Underlying Funds subject to the terms stated in this Offering Memorandum and subject to the overall supervision and policies of the Directors. The Management Agreement further provides that the Fund Manager is entitled to receive a Management Fee and may receive a Performance Fee as detailed under "Management Fee and Performance Fee" below. The Management Agreement will continue in full force and effect until terminated by either party pursuant to the terms and conditions specified in such Management Agreement.

Under the Management Agreement, neither the Fund Manager nor its directors, shareholders, officers, employees and affiliates (each an "**Indemnified Party**") shall be liable to the Fund for any loss suffered by the Fund in connection with the performance by the Fund Manager of its obligations except those resulting from the wilful default, fraud or gross negligence of the Fund Manager. The Fund has agreed to indemnify each Indemnified Party from and against any and all losses, liabilities, damages, expenses or costs suffered, incurred or sustained by such Indemnified Party in the course of performing its duties under the Management Agreement, except those resulting from such Indemnified Party's wilful default, fraud or gross negligence.

The shareholders of the Fund Manager are as follows:

1. BSP Funds Ltd., an Israeli company licensed by the Israeli Securities Authority as a marketing agent, is the largest shareholder of the Funds Manager. The main shareholders of BSP Funds Ltd. are Caron Bielski, Joseph Schiff, Ran Perlman and two companies held (100%) by two individuals, one of them is Mr. Zvi Stepak which is the founder and the controlling shareholder of Meitav-Dash Investment House Ltd. ("**Meitav-Dash**").

   Meitav-Dash is a public company traded in the Tel Aviv Stock Exchange and is one of the leading and largest investment houses in Israel with 30 years of experience in the field of capital markets and over US$37 billion under management for private, business and institutional clients. Meitav-Dash runs departments of Portfolio Management, Mutual Funds, Provident Funds, Indexes, Investment Banking (underwriters) and a reputable Market Research department. The Controlling Shareholders of Meitav-Dash are Mr. Zvi Stepak and the BRM Group.

2. Meir Cohen (see details below under "Fund Manager directors and officers").

3. Everborough Nominees Pty Ltd., a company organized under the laws of Australia, having its registered office at Level 1 Hanover House, 158 City Road, South Melbourne VIC 3205, being a member of the Australian group Albany. Albany is regulated as a Corporation under the Australian Securities and Investment Commission (ASIC).

<u>The Fund Manager directors and officers</u>

Meir Cohen – Director.

Education and Licensing: B.A. in Economics - Yeshiva University, New York; MBA - York University, Toronto - Designations - Chartered Financial Analyst.

Mr. Cohen has over a decade of wealth management experience, advising high net worth and institutional clients. Mr. Cohen spent eight years as Vice-President of Bull Wealth, a management firm in Toronto, where he was instrumental in developing and growing the firm's investment advisory business to over $1 billion of assets under management.

Riyaz Nooruddin – Director.

Riyaz Nooruddin serves as an independent director with DMS Governance Ltd. (DMS) where he oversees fund governance for private investment funds with a wide variety of structures and strategies. He brings experience in the asset management sector gained through positions held in London, the Cayman Islands and the British Channel Islands.

Prior to joining DMS, Riyaz held the position of Head of Fund Accounting at BNP Paribas, successfully leading a large team delivering fund services solutions to a suite of international clients. Before commencing his career in industry, he worked for PwC in the Cayman Islands, auditing a range of hedge funds from start-ups to multi-billion dollar funds with a variety of strategies. He also worked in the Investment Management department at PwC in London, UK, where his portfolio included some of the world's largest asset managers.

Riyaz is a Registered Director with the Cayman Islands Monetary Authority. He is also a member of the Institute of Chartered Accountants in England and Wales, and a member of the Cayman Islands Institute of Professional Accountants. He holds a Bachelor's Degree in Economics from the University of Leeds.

Vumindaba Dube –Director.

Vumindaba Dube is a Director at DMS Governance Ltd. (DMS), where he is an integral part of the Fund Governance team, providing client service delivery across multiple product lines and for a wide range of investment funds.

Prior to joining DMS he served as Account Manager at Citco Fund Services (Cayman Islands) Ltd., managing client relationships and leading a team responsible for a diverse portfolio of mutual funds. In more than a 10-year tenure at Citco, he was also a project leader and subject matter expert for the adoption of a key reporting application by the Cayman Islands office.

Earlier in his career, Mr. Dube worked as Senior Accountant in the Audit and Advisory Services Department of Deloitte (Cayman Islands). He began his career with Deloitte & Touche in Harare, Zimbabwe.

He holds a Bachelor of Accountancy (Honors) degree and Post Graduate Diploma in Applied Accountancy from the University of Zimbabwe.

Mr. Dube is a CFA Charterholder, a member of the CFA Institute and the CFA Society of the Cayman Islands. He is also a Registered Director with the Cayman Islands Monetary Authority and a member of the Cayman Islands Directors Association, the Cayman Islands Institute of Professional Accountants and the Institute of Chartered Accountants of Zimbabwe.

MANAGEMENT FEE AND PERFORMANCE FEE

Subject and pursuant to Appendix D – which forms an integral part of this Offering Memorandum, the Fund will pay to the Fund Manager a monthly Management Fee in arrears equal to one and half per cent. (1.5%) annually (0.125% per month) of the Net Asset Value of the Fund (before deduction of that month's Management Fee and any accrued Performance Fee) as at each Valuation Day.

Performance Fee

The Fund Manager will also be entitled to receive a Performance Fee from the Fund calculated on a Share-by-Share basis so that each Share is charged a Performance Fee which equates precisely with that Share's performance. This method of calculation ensures that (i) any

Performance Fee paid to the Fund Manager is charged only to those Shares which have appreciated in value, (ii) all holders of Shares of the same class have the same amount of capital per Share at risk in the Fund, and (iii) all Shares of the same class have the same Net Asset Value per Share.

The Performance Fee will be calculated in respect of each Calculation Period. The Performance Fee will be deemed to accrue on a monthly basis as at each Valuation Day.

Subject to the Hurdle rate, for each Calculation Period, the Performance Fee in respect of each Share will be equal to ten per cent (10%) of the appreciation in the Net Asset Value per Share of that class during that Calculation Period above the Base Net Asset Value per Share of that class. The Base Net Asset Value per Share is the greater of the Net Asset Value per Share of the relevant class at the time of issue of that Share and the highest Net Asset Value per Share of the relevant class achieved as of the end of any previous Calculation Period (if any) during which such Share was in issue. In case of transfer of Shares, such Shares will be treated as if they were issued on the date of acquisition at the then most recent subscription price of the relevant class for these purposes. The Performance Fee in respect of each Calculation Period will be calculated by reference to the Net Asset Value before deduction for any accrued Performance Fees.

The Performance Fee will be paid only on such increase that is in excess of 1.25% per quarter (5% per Annum – the "**Hurdle**"). The Hurdle is not cumulative from year to year. Thus, if the Hurdle is not achieved in a year, the shortfall is not carried forward into subsequent years.

The Performance Fee will normally be payable to the Fund Manager in arrears within 30 Business Days of the end of each Calculation Period. However, in the case of Shares redeemed during a Calculation Period, the accrued Performance Fee in respect of those Shares will be payable within 30 Business Days after the date of redemption.

The Fund Manager may from time to time and at its sole discretion decide to rebate to some or all Shareholders (or their agents including the Directors). Any such rebate may be applied in paying up additional Shares to be issued to the Shareholder. The Fund Manager may, at his sole discretion, pay a portion of the Management Fee and/or the Performance Fee to intermediaries or placement agents (including the Directors). Sales agents appointed by the Fund Manager shall be remunerated by the Fund Manager.

If the Management Agreement is terminated before 31 December in any subsequent year the Performance Fee in respect of the then current Calculation Period will be calculated and paid as though the date of termination were the end of the relevant period.

Directors may chose in the future to issue additional classes of Shares, which carry different rights, including as to Management Fee, Performance Fee, Hurdle, redemption terms and denomination in different currencies.

Adjustment

If an investor subscribes for Shares at a time when the Net Asset Value per Share of that class is other than the Reference Net Asset Value per Share of the relevant class, certain adjustments will be made to reduce inequities that could otherwise result to the subscriber or to the Fund Manager.

The Reference Net Asset Value per Share is the greater of the Net Asset Value per Share of the relevant class in effect immediately after 31 December in any subsequent year (being the end of a Calculation Period) in respect of which a Performance Fee (other than a Performance Fee Redemption, as defined below) was charged. For these purposes, in case of transfer of Shares, such Shares will be treated as if they were redeemed (by the transferor) and subscribed for (by the transferee) on the date of the transfer at the most recent subscription price.

(A) If Shares are subscribed for at a time when the Net Asset Value per Share is less than the Reference Net Asset Value per Share of the relevant class, the investor will be required to pay a Performance Fee with respect to any subsequent appreciation in the value of those Shares. With respect to any appreciation in the value of those Shares from the Net Asset Value per Share at the date of subscription up to the Reference Net Asset Value per Share, the Performance Fee will be charged at the end of each Calculation Period by redeeming at par value such number of the investor's Shares of the relevant class as have an aggregate Net Asset Value (after accrual for any Performance Fee) equal 10 per cent of any such appreciation that is in excess of the hurdle computed for the period (a "**Performance Fee Redemption**"). The aggregate Net Asset Value of the Shares so redeemed (less the aggregate par value which will be retained by the Fund) will be paid to the Fund Manager as a Performance Fee. Performance Fee Redemptions are employed to ensure that the Fund maintains a uniform Net Asset Value per Share of each class. As regards the investor's remaining Shares of that class, any appreciation in the Net Asset Value per Share of those Shares above the Reference Net Asset Value per Share of that class will be charged a Performance Fee in the normal manner described above.

(B) If Shares are subscribed for at a time when the Net Asset Value per Share is greater than the Reference Net Asset Value per Share of the relevant class, the investor will be required to pay an amount in excess of the then current Net Asset Value per Share of that class equal to ten per cent (10%) of the difference between the then current Net Asset Value per Share of that class (before accrual for the Performance Fee) and the Reference Net Asset Value per Share of that class increased by the propitiate Hurdle computed for the period. (an "**Equalisation Credit**"). At the date of subscription the Equalisation Credit will equal the Performance Fee per Share accrued with respect to the other Shares of the same class in the Fund (the "**Maximum Equalisation Credit**"). The Equalisation Credit is payable to account for the fact that the Net Asset Value per Share of that class has been reduced to reflect an accrued Performance Fee to be borne by existing Shareholders of the same class and serves as a credit against Performance Fees that might otherwise be payable by the Fund but that should not, in equity, be charged against the Shareholder making the subscription because, as to such Shares, no favourable performance has yet occurred. The Equalisation Credit ensures that all holders of Shares of the same class have the same amount of capital at risk per Share.

The additional amount invested as the Equalisation Credit will be at risk in the Fund and will therefore appreciate or depreciate based on the performance of the relevant class subsequent to the issue of the relevant Shares but will never exceed the Maximum Equalisation Credit. In the event of a decline as at any Valuation Day in the Net Asset Value per Share of those Shares, the Equalisation Credit will also be reduced by an amount equal to 10 per cent of the difference between the Net Asset Value per Share (before accrual for the Performance Fee) at the date of issue and as at that Valuation Day.

Any subsequent appreciation in the Net Asset Value per Share of the relevant class will result in the recapture of any reduction in the Equalisation Credit but only to the extent of the previously reduced Equalisation Credit up to the Maximum Equalisation Credit.

At the end of each Calculation Period, if the Net Asset Value per Share (before accrual for the Performance Fee) exceeds the Reference Net Asset Value per Share of the relevant class adjusted by the Hurdle, that portion of the Equalisation Credit equal to 10 per cent of the excess, multiplied by the number of Shares of that class subscribed for by the Shareholder, will be applied to subscribe for additional Shares of that class for the Shareholder. Additional Shares of that class will continue to be so subscribed for at the end of each Calculation Period until the Equalisation Credit, as it may have appreciated or depreciated in the Fund after the original subscription for Shares of that class was made, has been fully applied. If the Shareholder redeems his Shares of that class before the Equalisation Credit has been fully applied, the Shareholder will receive additional redemption proceeds equal to the Equalisation Credit then remaining multiplied by a fraction, the numerator of which is the number of Shares of that class being redeemed and the denominator of which is the number of Shares of that class held by the Shareholder immediately prior to the redemption in respect of which an Equalisation Credit was paid on subscription.

BOARD OF DIRECTORS

The Board of Directors will meet at least four times a year to review and assess the investment policy and performance of the Fund and generally to supervise the conduct of its affairs. The Fund's directors (each, a "**Director**") are **Meir Cohen, Laurent Arnoux** and **Kevin A. Phillip**.

Meir Cohen – Director.

See above (under The Fund Manager directors and officers)**.**

Laurent Arnoux- Director. Mr. Arnoux has over 35 years of experience in various positions in the financial markets. Mr. Arnoux was a member of senior management at Credit Suisse, co-founder of The Family Office, Geneva and has acted as an advisor and director of various hedge funds and Multi Strategy Fund of funds. Mr. Arnoux was a Director of the Opus Family Funds of Hedge Funds which are managed by Schroders NewFinance Capital LLP.

Kevin A. Phillip- Director. Mr. Phillip is a Managing Director of DMS Governance Ltd. (DMS) and serves as an independent director on the boards of a variety of hedge fund and related structures. He leads a team of professionals at DMS, supervising the fund governance of hedge funds and providing guidance on accounting, regulatory, legal, outsourcing and financial issues.

He also serves as Business Unit Leader of the DMS International Tax Compliance Group, a specialist group of attorneys, accountants, and compliance experts that deliver customized solutions to meet international tax compliance obligations.

Mr. Phillip gained experience working as an auditor with Ernst & Young in New York and the Cayman Islands, focusing on large international financial institutions, domestic and offshore hedge funds and mutual funds. His hedge fund client base had assets in excess of US$12 billion under management.

He qualified as a Certified Public Accountant in New York and holds a Master of Science degree in Accountancy from the University of Notre Dame and a Bachelor of Business Administration degree in both Accounting and Finance from North Carolina Central University.

Mr. Phillip is a Registered Director with the Cayman Islands Monetary Authority and is an Accredited Director by the Chartered Secretaries of Canada. He is also a member of the American Institute of Certified Public Accountants and is an approved principal of entities registered with the National Futures Association.

Additional Directors may be appointed from time to time. The Fund's Articles of Association provide for the appointment of alternate Directors who have all of the rights and powers of the Director(s) in whose stead such persons are appointed. A Director cannot vote in respect of any agreement or transaction in which he or she has a material interest unless the material facts of such interest are disclosed in good faith at a meeting of the Directors, or in writing to the Directors. None of the Directors has, or has had since incorporation, any interest, direct or

indirect, in any transactions which are unusual in their nature or significant to the business of the Fund. The aggregate annual remuneration for Directors which, under the Articles, is determined by the Directors is not expected to exceed US$7,000 per Director.

In the event that additional Directors are appointed the aggregate annual remuneration will increase commensurately. Directors carrying out additional duties may be entitled to additional remuneration, as determined by the Directors. The Directors are also entitled to be reimbursed for all expenses incurred in connection with the Fund and its business. A Director is not required to retire upon reaching a certain age.

None of the Directors have a service contract, existing or proposed, with the Fund. Rather, they serve pursuant to the terms of the Articles.

The Directors may exercise all the powers of the Fund to borrow money and to mortgage or charge its undertakings, property and uncalled capital or any part thereof, to issue debentures, debenture stock and offer securities whenever money is borrowed as security for any debt, liability or obligation of the Fund.

No Director has (i) any unspent convictions in relation to indictable offences; or (ii) been bankrupt or the subject of a voluntary arrangement, or has had a receiver appointed to any of his assets; or (iii) been a director of any company which, while he was a director with an executive function or within 12 months after he ceased to be a director with an executive function, had a receiver appointed or went into compulsory liquidation, creditors' voluntary liquidation, administration or company voluntary arrangements, or made any compensation or arrangement with its creditors generally or with any class of its creditors; or (iv) been a partner of any partnership, which while he was a partner or within 12 months after he ceased to be a partner, went into compulsory liquidation, administration or partnership voluntary arrangement, or had a receiver appointed to any partnership asset; or (v) been disqualified by a court from acting as a director or from acting in the management or conduct of affairs of any company.

Except as otherwise disclosed in this Offering Memorandum, none of the Directors, nor any connected person, the existence of which is known to or could with reasonable diligence be ascertained by that Director, whether or not through another party, has any interest in the Shares of the Fund, nor have they been granted any options in respect of the Shares of the Fund. Each of the Directors or any connected person may, directly or indirectly, subscribe for Shares during the Initial Offer and subsequently.

Under the Articles, the Directors are entitled to be indemnified and held harmless by the Fund from and against any loss or expense suffered or sustained by them (other than any loss or expense resulting from their own wilful default, fraud, dishonesty or gross negligence) by reason of their participation on the Board of Directors.

For the purpose of this Offering Memorandum, the address of each Director is the registered office of the Fund.

THE ADMINISTRATOR

The Fund entered into an Administration Agreement with Citco Fund Services (Cayman Islands) Limited (the "**Administration Agreement**") (the "**Administrator**") on March 2010.

Pursuant to this agreement the Administrator will perform certain administrative, accounting, registrar and transfer agency services for the Fund, subject to the overall supervision of the Fund's Board of Directors.

Pursuant to the Administration Agreement, the Administrator is responsible, under the overall supervision of the Fund's Board of Directors, for matters pertaining to the day-to-day administration of the Fund, including: (i) calculating the Net Asset Value of the Fund and the Net Asset Value per Share of each class (as the case may be) in accordance with the Articles, this Offering Memorandum and the Fund's valuation policies and procedures; (ii) maintaining the Fund's financial books and records so far as may be necessary to give a complete record of all transactions carried out by the Fund; and (iii) providing registrar and transfer agency services in connection with the issuance, transfer and redemption of Shares.

The registrar and transfer agency services to be provided by the Administrator will include: (i) verifying the identity of prospective investors in accordance with applicable anti-money laundering policies and procedures, (ii) maintaining the Fund's register of Shareholders, (iii) generally performing all actions related to the issuance, transfer and redemption of the Shares, (iv) disseminating the Net Asset Value of the Shares to Shareholders, (v) furnishing annual financial statements, as well as monthly Shareholder statements to Shareholders, and (vi) performing certain other administrative and clerical services in connection with the administration of the Fund as agreed between the Fund and the Administrator.

Certain accounting and investor relations function will be delegated by the Administrator to Citco Fund Services (Ireland) Limited as a sub-administrator (the "**Sub-Administrator**"). All investor related correspondence should be sent to the Sub-Administrator.

For the purposes of determining the Net Asset Value and the Net Asset Value per Share of each class, the Administrator will follow the valuation policies and procedures adopted by the Fund as set out in the section entitled "Net Asset Value". In calculating the Net Asset Value of the Fund, the Administrator shall, and shall be entitled to, rely on, and will not be responsible for the accuracy of, financial data furnished to it by the Fund's depositary, custodian(s), market makers and/or administrators or independent third party pricing services. The Administrator may also use and rely on industry standard financial models in pricing any of the Fund's securities or other assets. If and to the extent that the Directors or the Fund Manager are responsible for or otherwise involved in the pricing of any of the Fund's portfolio securities or other assets, the Administrator may accept, use and rely on such prices in determining the Net Asset Value of the Fund and shall not be liable to the Fund, any investor in the Fund, the Directors, the Fund Manager or any other person in so doing.

The Fund's assets shall be deposited with the Depositary and/or any sub-depositaries. The Administrator has no duty of supervision, including no duty to control the compliance of the Fund with its investment policy and restrictions (which is the Directors' responsibility), or of ensuring the accuracy of the valuation provided by relevant pricing sources.

The Administrator in no way acts as guarantor or offeror of the Fund's Shares or any underlying investment, nor is it responsible for the actions of the Fund's sales agents, its prime broker(s), other custodian(s), any other brokers or the Fund Manager.

The fees payable to the Administrator are based on its standard schedule of fees charged by the Administrator for similar services. These fees are detailed in the Administration Agreement.

The Administration Agreement is for an indefinite term; provided, however, that the Administration Agreement is subject to termination by the Administrator or by the Fund upon three (3) months written notice, or immediately in certain other circumstances specified therein.

Under the terms of the Administration Agreement, the liability of the Administrator to the Fund is limited to any loss or damage suffered by the Fund as a result of the Administrator's willful misconduct, fraud or gross negligence. The Fund has also agreed to indemnify the Administrator and its officers and directors for any and all costs, liabilities and expenses which may be imposed on, incurred by or asserted against any of them howsoever arising (other than by reason of gross negligence, fraud or willful misconduct on the part of the Administrator) in connection with the provision of the services under the Administration Agreement.

The Administrator is not responsible for any trading decisions of the Fund (all of which will be made by the Fund Manager).

THE ADMINISTRATOR WILL NOT PROVIDE ANY INVESTMENT ADVISORY OR MANAGEMENT SERVICE TO THE FUND AND THEREFORE WILL NOT BE IN ANY WAY RESPONSIBLE FOR THE FUND'S PERFORMANCE. THE ADMINISTRATOR WILL NOT BE RESPONSIBLE FOR MONITORING ANY INVESTMENT RESTRICTIONS OR COMPLIANCE WITH THE INVESTMENT RESTRICTIONS AND THEREFORE WILL NOT BE LIABLE FOR ANY BREACH THEREOF.

THE DEPOSITARY

Citco Custody Limited (the "**Depositary**") has been appointed to act for the Fund pursuant to a depositary agreement dated on or about the date of this Offering Memorandum. The Depositary is organised under the laws of Malta and is regulated by the MFSA. The Depositary is licensed by the MFSA and is authorised to act as custodian to various funds.

Pursuant to the Depositary Agreement, the Fund has also appointed the Depositary to carry out certain order processing services, (the "**Order Processing Services**") for the benefit of the Fund. To enable the Depositary to perform the Order Processing Services, the Fund shall grant the Depositary relevant access to and authority over, the Cash Account(s) held by the Cash Account Bank. The Fund acknowledges that the Depositary shall have no responsibility for verifying that there are sufficient monies deposited in the Cash Account(s) to support any Instruction which requires Order Processing Services.

The Depositary Agreement shall continue in full force and effect until terminated by either the Fund or the Depositary giving ninety days' (or such shorter period as such other party may agree to accept) prior written notice to the other.

The Depositary shall be liable for a direct loss arising directly from its fraud or negligence. The Depositary shall have no liability whatsoever for any consequential, special or indirect loss or damages (including, but not limited to, lost profits) arising out of or in connection with the performance or non-performance by the Depositary of its duties and obligations.

The Depositary may act through agents, sub-custodians or any other third party which the Depositary may, in its absolute discretion, deem necessary. The Depositary shall not be liable for any act or omission or for the solvency of any sub-custodian, agent or third party appointed provided that the Depositary can demonstrate that due care was taken in the selection and ongoing appropriate level of monitoring of any such sub-custodian, agent or third party. The Depositary shall not be liable for any act or omission or for the solvency of any sub-custodian, agent or third party, which the Depositary is either compelled or directed to appoint by the Fund, the underlying Securities or applicable law. The Fund shall indemnify and hold harmless the Depositary, its directors, officers, employees, shareholders, affiliates and agents from and against any losses, expenses, liabilities, obligations, damages, penalties, judgements, actions, suits or costs howsoever imposed on, asserted against or incurred by them for any act or omission or for the solvency of any sub-custodian, agent or third party, arising out of or in connection with the performance by the Depositary of its duties and obligations and provided that it has not arisen from its fraud or negligence. The securities held at any one time by the Depositary or any sub-custodian shall be recorded in and ascertainable from the books and/or ledgers of the Depositary and such books and ledgers shall constitute conclusive evidence of the Securities retained on behalf of the Fund.

The securities and other assets belonging to the Fund shall be (i) separately identifiable, recorded and segregated from assets held for the Depositary's own account or for the account of third

parties; (ii) identified in the books of the Depositary as belonging to the Fund; and (iii) clearly indicated as separate and distinct from the Depositary's own assets or those of any third party. Subject to the above, the Depositary may place and keep the securities and any other assets belonging to the Fund in a common pool of identical assets or otherwise deposit them in a clients' or common account.

The Depositary does not act as sponsor of the Fund or assume any controlling duties. The Depository does not warrant the contents of this Offering Document (other than information pertaining to it), nor is it involved in the management, administration or Net Asset Value calculation of the Fund.

CAPITAL STRUCTURE OF THE FUND

The Fund has an authorised share capital of US$50,000 divided into 10 voting non-participating Founder Shares, with a par value of US$1.00 each ("**Founder Shares**"), and 4,999,000 non-voting Participating Shares, with a par value of US$0.01 each ("**Participating Shares**" or "**Shares**") – all of which are currently available for issue as US Dollar Shares only.

The Founder Shares are not being offered pursuant to this Offering Memorandum and will be held by the Fund Manager. They confer no economic benefit other than the right to a return of paid-up capital on a winding-up subject to the prior return of paid-up capital on Participating Shares. The Founder Shares carry the exclusive right to vote at general meetings of the Fund.

The Participating Shares do not have the right to vote at general meetings of the Fund but may vote in relation to a variation of class rights as described under "Change in share capital" below.

Unissued Shares are at the disposal of the Directors who may offer, allot, grant options over or otherwise dispose of them in such manner as they determine appropriate. There are no pre-emption rights attaching to any shares of the Fund. No capital of the Fund is under option or agreed, conditionally or unconditionally, to be put under option.

Change in share capital

Subject to the Articles and the Cayman Islands Companies Law (2018 Revision), the Fund may, by ordinary resolution of its voting Shareholders, increase its share capital, divide all or any of its share capital into shares of smaller amount or combine all or any of its share capital into shares of larger amount.

For so long as the authorized share capital is divided into different classes of Shares, the rights attached to any class may be varied by consent in writing of holders of not less than three quarters of the issued shares of that class or with the sanction of a special resolution (a three quarters majority of votes cast) passed at a general meeting of the holders of the Shares of that class and for such purposes the Directors may treat all classes of Shares as forming one class if they consider that all such classes would be affected in the same way by the proposals under consideration but in any other case shall treat them as separate classes. Any amendment to the Articles by the holders of the Founder Shares to relinquish any of their rights or to conform the

Articles to the terms of this Offering Memorandum will not be deemed to vary the rights of any class of Shares.

Winding up

If the Fund is wound up, the liquidator shall apply the assets of the Fund in such manner and order as he thinks fit in the satisfaction of creditors' claims. After satisfaction of all creditors claims, the assets of the Fund available for distribution shall be first applied in repayment to the relevant Shareholders *pari passu* of the nominal amount of the Founder Shares. Any surplus assets then shall be divided between the classes of Participating Shares *pro rata* according to their relative Net Asset Values and then within such classes *pari passu* according to the number of Shares held.

If the Fund shall be wound up (whether the liquidation is voluntary, under supervision or by the court), then the liquidator may divide among the members in specie the whole or any part of the assets of the Fund, and whether or not the surplus assets shall consist of property of a single kind and may for such purposes set such value as he deems fair upon different kinds of property, and may determine how such division shall be carried out as between the holders of different classes of Shares.

OFFERING OF SHARES

Shares will be issued only in registered, book-entry form (meaning that no share certificates will be issued). Shares will initially be issued in classes as prescribed in Appendix D. Directors may chose in the future to issue additional classes of Shares, which carry different rights than those specified in Appendix D, including as to Management Fee, Performance Fee, Hurdle, redemption terms and denomination in different currencies.

The initial classes of shares will be available for subscription during the Initial Offer Period at a price of US$100 per Share. Thereafter, Shares of each class will be available for subscription on Subscription Days at the prevailing Net Asset Value per Share of the relevant class. Fractional Shares may be issued, down to three (3) decimals (1/1,000 Share).

The minimum initial subscription amount is US $500,000. The minimum subscription amount for additional Shares is US $100,000. The Directors may, in their absolute discretion, accept subscriptions of lesser amounts, provided that the absolute minimum initial subscription for Shares is not less than US $100,000.

Unless otherwise determined by Directors, applicants for Shares must send their properly completed irrevocable application form (together with any required additional documentation) by facsimile or as an attachment to an email (with the original by mail, in the case of an initial subscription) to the Sub-Administrator so as to be received before 6.00 p.m. (Irish time) at least ten (10) Business Days prior to the end of the Initial Offer Period or with respect to Subscription Days, not later than four (4) Business Days prior to the relevant Subscription Day, and so that cleared funds are received nine (9) Business Day prior to the end of the Initial Offer Period or four (4) Business Day prior to the relevant Subscription Day. If these conditions are not satisfied, then the application may be held over until the first Subscription Day following satisfaction of these conditions. Shares may be issued for non-cash consideration at the discretion of the

Directors. Such consideration will be valued by reference to the valuation principles applied in the calculation of Net Asset Value (but subject to the deduction of such sum (if any) as the Directors consider represents an appropriate provision for any fiscal, transfer, registration or other charges, fees or duties associated with the non-cash consideration received by the Fund) or if the Directors consider appropriate by such other method as may, in the opinion of the Directors, be fair and reasonable, having regard to the interests of the applicant and the existing Shareholders at the relevant time.

The Fund reserves the right to reject any application in whole or in part, for any reason or for no reason, in which event the unused subscription monies will be returned to the applicant, without interest, to the account from which the subscription monies were received and at the risk and cost of the applicant. Shares will not be available for subscription during any period that the calculation of the Net Asset Value has been suspended. The Sub-Administrator will issue a written confirmation to successful applicants confirming acceptance of their application. Once completed applications have been received by the Sub-Administrator, they are irrevocable.

The Directors reserve the right to close the Fund or any class to new subscriptions either for a specified period or until they otherwise determine, for all or just new investors, at any time.

Investor Requirements

Shares may not be issued, or transferred, to or for the benefit of any person other than a Qualifying Investor. A Qualifying Investor is any person:

- whose acquisition or holding of Shares would not cause the Fund, or the Shareholders as a whole, to suffer any tax, fiscal, legal, regulatory, pecuniary or material administrative disadvantage which it or they would not otherwise have suffered, and

- who warrants at the time of investment that (1) its ordinary business or professional activity includes the buying and selling of investments whether as principal or agent, or (2) (*natural persons*) individual net worth, or joint net worth with spouse, exceeds US$1 million, or (3) (*institutions*) assets under discretionary management exceed US$5 million, and

- who warrants expressly that it (1) has the knowledge, expertise and experience in financial matters to evaluate the risks of investing in the Fund, (2) is aware of the risks inherent in investing in the assets in which the Fund will invest and the method by which the assets of the Fund will be held and/or traded, and (3) can bear the risk of loss of its entire investment, and

- (*if a US Person*) who is an "accredited investor" and a "qualified purchaser" as such terms are defined under applicable US federal securities laws and, unless the Directors determine otherwise either generally or in any particular case, who is generally exempt from US federal taxes; and

- who holds, or will hold after the transfer, shares to the value of at least the Minimum Holding.

Without limiting the generality of the foregoing, unless some of the investors are subject to Title I of ERISA or the prohibited transactions permissions of section 4975 of the IRC, the Fund will not accept any subscriptions from, and Shares may not be transferred to, any investor, whether or not a US Person if, immediately thereafter, the interests of Benefit Plan Investors would equal or exceed 25 per cent of the value of any class so that equity participation by Benefit Plan Investors will not be considered "significant" under US Department of Labor regulations and, as a result, the underlying assets of the Fund will not be deemed "plan assets" for the purpose of ERISA. If the assets of the Fund were regarded as "plan assets" for a Benefit Plan Investor, the Fund Manager would be a "fiduciary" (as defined in ERISA) with respect to such plan and would be subject to the obligations and liabilities imposed on fiduciaries by ERISA and/or the IRC. Moreover, the Fund would be subject to various other requirements of ERISA and/or the IRC. Without limiting the ability of the Fund to compel the compulsory redemption of Shares by anyone who is not a Qualifying Investor, the Fund may require the compulsory redemption of Shares to ensure that the interests of Benefit Plan Investors do not equal 25 per cent or more of the value of any class. The Fund reserves the right, however, to waive, in the Director's sole and absolute discretion, the 25 per cent limitation and thereafter to comply with ERISA.

To remove any doubt, the aforesaid does not effect the restrictions on the transferability of the Shares.

Each applicant is required to acknowledge that the Fund, the Administrator, the Sub-Administrator and/or the Fund Manager may disclose to each other, to any other Service Provider to the Fund, to any regulatory body in any applicable jurisdiction to which any of the Fund, the Administrator, the Sub-Administrator and/or the Fund Manager is or may be subject, copies of the applicant's subscription application/documents and any information concerning the applicant in their respective possession, whether provided by the applicant to the Fund, the Administrator, the Sub-Administrator and/or the Fund Manager or otherwise, including details of that Shareholder's holdings in the Fund, historical and pending transactions in the Fund's Shares and the values thereof, and any such disclosure shall not be treated as a breach of any restriction upon the disclosure of information imposed on any such person by law or otherwise.

REDEMPTION OF SHARES

During the period of twelve months from the date of initial subscription, Shares may not be redeemed (the "**Lock-up Period**"). Thereafter, Shares may be redeemed as of each Redemption Day. Any redemption request must be received by the Sub-Administrator before 6.00 p.m. (Irish time) at least 96 Calendar Days prior to the relevant Redemption Day. The Directors may waive the Lock-up Period or notice requirements or permit redemptions under such other circumstances and on such conditions as they, in their sole and absolute discretion, deem appropriate.

The Sub-Administrator will process redemption requests which are initially received by facsimile or as an attachment to an email signed by the redeeming Shareholder or by an authorized signatory of the redeeming Shareholder and all information and documentation required to verify the identity of the Shareholder. Neither the Fund nor the Sub-Administrator shall be responsible for any mis-delivery or non-receipt of any facsimile or email. Facsimiles or emails sent to the Fund or the Sub-Administrator shall only be effective when actually received by the Fund or the Sub-Administrator.

Shares will be redeemed at Net Asset Value per Share of the relevant class (after payment of any Performance Fee with respect to the redeemed Shares) on the Redemption Day. The Fund endeavours to pay the redemption proceeds within 30 Business Days of the Redemption Day. At the discretion of the Directors payment of redemption proceeds may be postponed for a period of up to 90 Business Days of the Redemption Day.

The Fund may temporarily suspend redemption if necessary in order to liquidate investments in an orderly manner. If the Fund receives requests for the redemption of Shares as of any month end which in aggregate exceed 10% of the Net Asset Value of the Participating Shares in issue, unless the Directors in a particular case resolve otherwise, each redemption request concerned will be deemed to be such lesser amount so that all redemption payments together do not exceed 10% of the Net Asset Value of the Participating Shares in issue on that date. Any unsatisfied redemption requests shall be carried forward to the next Redemption Day and, within the same 10% limitation referred to above, redeemed in priority to later redemption requests.

Without derogating from the aforesaid, payment of redemption proceeds may also be deferred by the Directors in the event that there is a delay in the receipt of funds from Underlying Funds which are necessary to enable the Fund to make redemption payments.

Redemption proceeds will be credited to a subscription/redemption account of the Fund which will pay the proceeds to the same bank account from which subscription monies were paid. unless alternative arrangement have been made with the Administrator.

The Board of Directors may establish reserves or holdbacks for estimated accrued expenses, liabilities and contingencies (even if such reserves or holdbacks are not otherwise required by IFRS which could reduce the amount of a distribution upon redemption.

Partial redemptions may be refused if, immediately thereafter, the value of a Shareholder's Shares would be less than the Minimum Holding.

The Directors may declare a suspension of the redemption of Shares in certain circumstances as described under "Suspension of Redemptions". Shares may not be redeemed during any such period of suspension. Unless during a suspension of redemptions, redemption requests are irrevocable unless the Directors otherwise determine.

Payment of redemption proceeds may be withheld or delayed if information required to satisfy verification of identity pursuant to applicable anti-money laundering regulations is not provided in a timely manner.

COMPULSORY REDEMPTION OF SHARES

In certain circumstances and upon the notice periods specified in the Articles, the Fund may compel the redemption of all or part of a Shareholder's Shares, for example, if the Shareholder is not a Qualifying Investor or holds less than the Minimum Holding. The Board of Directors may charge any Shareholder receiving such a notice any legal, accounting or administrative costs associated with such compulsory redemption. The Fund may also compel the redemption of part of the shareholding of any Shareholder that is a Benefit Plan Investor so as to ensure that the

value of interests held by Benefit Plan Investors does not equal or exceed 25 per cent of the value of any class. Generally, distributions in respect of a compulsory redemption shall be made in the same manner and under the same terms as a regular redemption.

In the event of a compulsory redemption, the redemption price will be determined as of the close of business on the Redemption Date (which may be any Valuation Day in addition to a Redemption Day) specified by the Board of Directors in its notice to the Shareholder. A Shareholder whose Shares are compulsorily redeemed will have no Shareholder rights after the close of business on the date on which the notice of compulsory redemption was issued.

DETERMINATION OF NET ASSET VALUE

The Net Asset Value for the Fund, each class and per Share, will be determined by the Administrator on each Valuation Day for the relevant class and will be assessed as set out below. The Net Asset Value of the Fund, or of any class shall be equal to the gross assets less gross liabilities of the Fund or class (as applicable) as at the date of determination. The publication of the Net Asset Value will take place within 25 Calendar Days after the calculation thereof.

The Net Asset Value per Share of each class will be calculated by dividing the Net Asset Value of the relevant class by the number of Shares of such class which are in issue at the close of business in Ireland as of such Valuation Day (including Shares in relation to which a Shareholder has requested redemption on such Valuation Day) and by rounding the resulting amount obtained to the second decimal place.

The Net Asset Value of the Fund shall be assessed by the Administrator, under the responsibility of the Directors, as follows:

I. The assets of the Fund shall include:

(1) cash at hand and on deposit, including interest due but not yet collected and interest accrued on these deposits up to the Valuation Day;

(2) All bills and demand notes and accounts receivable (including the result of the sale of securities that have not yet been received);

(3) All securities, units, shares, debt securities, option or subscription rights and other investments and transferable securities owned by the Fund;

(4) All dividends and distribution proceeds declared to be received by the Fund in cash or securities;

(5) All interest due but not yet received and all interest yielded up to the Valuation Day by securities unless this interest is included in the principal amount of such securities;

(6) The organizational expenses of the Fund insofar as they have not been amortized; and

(7) All other assets of whatever nature including prepaid expenses.

The value of these assets shall be determined as follows:

(a) The value of any cash at hand or on deposit, bills and demand notes and accounts receivable, prepaid expenses, dividends and interests declared or due but not yet collected will be deemed to be the full value thereof, unless it is unlikely that such values are received in full, in which case the value thereof will be determined by deducting such amount the Directors considers appropriate to reflect the true value thereof;

(b) The valuation of any security (including shares or units in closed-end Underlying Funds) listed or traded on an official Stock Exchange or any other regulated market operating regularly, recognized and open to the public is based on the last quotation known in Ireland on the Valuation Day and, if this security is traded on several markets, on the basis of the last price known on the market considered to be the main market for trading this security. If the last known price is not representative, the valuation shall be based on the probable realization value estimated by the Directors with prudence and in good faith;

(c) Shares or units in open-ended Underlying Funds will be valued at the last available net asset value for such shares or units on the relevant Valuation Day as supplied by the administrator thereof or by such other person as the Directors in their discretion shall determine, failing which they shall be valued at the last available net asset value whether estimated or actual which is calculated prior to such Valuation Day, provided that if events have occurred which may have resulted in a material change in the net asset value of such shares or units since the date on which the last net asset value was calculated, the value of such shares or units may be adjusted in order to reflect, in the reasonable opinion of the Directors, such change;

(d) Futures and options are valued by reference to the last available closing or settlement price on the relevant market;

(e) Securities not listed or traded on a stock exchange or any other regulated market, operating regularly, recognized by and open to the public shall be assessed on the basis of the probable realization value estimated with prudence and in good faith;

(f) Securities expressed in a currency other than the currency of the Fund concerned shall be converted on the basis of the last available rate of exchange;

(g) Swaps are valued at fair value based on the last available closing or settlement price of the underlying security;

(h) Investments in open-ended UCIs will be taken at their latest official net assets values or at their latest unofficial net asset values (i.e. which are not generally used for the purposes of subscription and redemption of units/shares of the target UCIs) as provided by the relevant administrators/managers if more recent than their official net asset values.

If events have occurred which may have resulted in a material change of the net asset value of such shares or units in other Underlying Funds since the day on which the latest official net asset value was calculated, the value of such shares or units may be adjusted in order to reflect, in the

reasonable opinion of the Directors, such change of value but the Directors will not be required to revise or recalculate the Net Asset Value per Share on the basis of which subscriptions or redemptions may have been previously accepted.

For the purpose of determining the value of the Fund's assets, the Administrator exclusively relies upon information received from various pricing sources; the Administrator shall not be responsible for the accuracy of the valuations provided by such pricing sources. In any case the Administrator may rely upon the valuations provided by the Directors and/or provided by one or more specialists duly authorized to that effect by the Directors.

If one or more sources of quotation is not able to provide relevant valuations, the Administrator shall immediately inform the Fund Manager. If they deem necessary, Directors may decide to suspend the calculation of the Net Asset Value in accordance with the procedures described in the 'SUSPENSION OF REDEMPTIONS; SUSPENSION OF THE DETERMINATION OF NET ASSET VALUE' section and shall inform the Administrator accordingly. Consequently the Administrator shall be authorized not to determine subscription prices and redemption prices.

II. The liabilities shall include:

(1) All borrowings, bills matured and accounts due;

(2) All liabilities known, whether matured or not, including all matured contractual obligations that involve payments in cash or in kind (including the amount of dividends declared by the Fund but not yet paid);

(3) All reserves, authorized or approved by the Directors, in particular those that have been built up to reflect a possible depreciation on some of the Fund's assets; and

(4) All other liabilities of the Fund, of whatever nature with the exception of those represented by Shares in the Fund. To assess the amount of these other liabilities, the Fund shall take into account all expenditures to be borne by it, including, without any limitation the incorporation expenses and costs for subsequent amendments to the constitutional documents, all translation costs, fees and expenses payable to the Advisor, Depositary and correspondent agents, domiciliary agents or other agents and employees of the Fund or the Fund Manager, as well as the permanent representatives of the Fund in countries where it is subject to registration, the costs for legal assistance or the auditing of the Fund's annual reports, the advertising costs, the cost of printing and publishing the documents prepared in order to promote the sale of Shares, the costs of printing the annual and interim financial reports, the cost of convening and holding Shareholders' meetings, the costs of registration statements, all taxes and duties charged by governmental authorities and stock exchanges, the costs of publishing the issue and repurchase prices as well as any other running costs, including finder fees, financial, banking and brokerage expenses incurred when buying or selling assets or otherwise and all other administrative costs as well as insurance costs, including insurance costs for the Directors, employees and agents of the Fund or the Fund Manager, costs and expenses related to legal, notarial and/or administrative proceedings and indemnifications resulting from such proceedings, involving, directly or indirectly, the Fund, Directors, employees and agents of the Fund as well as legal, to the extent as permitted by law,

notarial and/or administrative proceedings and indemnifications resulting from such proceedings, related, directly or indirectly to former or existing Shareholders.

In assessing the amount of these liabilities, the Fund shall take into account pro rata *temporis* the expenses, administrative and other, that occur regularly or periodically.

Where no method of calculation is specified herein, or where, in the opinion of the Directors, the method of calculation is unfair or impracticable, the Administrator shall use a method of calculation that the Directors considers fair and reasonable and otherwise in.

In respect of the Fund's investments in an Underlying Fund, the Administrator shall determine the Net Asset Value of the Fund as of each valuation date in reliance on the valuations as reported by the Underlying Fund or the administrator of such Underlying Fund. Where the final net asset value of such Underlying Fund is not available as of the valuation date, the Administrator shall, and shall be entitled to, use and rely on the estimated net asset value as reported by the administrator or fund manager for such Underlying Fund, or if no such estimated net asset value is available, Underlying Funds will be valued at the last available actual or estimated net asset value as reported by the administrator or fund manager of such Underlying Funds, which is calculated prior to such valuation date (whichever is the closer to such valuation date), provided that if events have occurred which may have resulted in a material change in the net asset value of such Underlying Fund since the date on which such actual or estimated net asset value was calculated, the value of such Underlying Fund may be adjusted in order to reflect, in the reasonable opinion of the Fund Manager, such change. In the event that there is a difference between an estimated price provided to and used by the Fund and a final price received in respect thereof, the Fund may, but will not be required to, adjust its own Net Asset Value calculation. Additionally, the nearest Net Asset Value to the last Calendar Day of the Fund's Fiscal Year will be replaced by a Net Asset Value calculated on the last Calendar Day of the concerned period.

SUSPENSION OF REDEMPTIONS; SUSPENSION OF THE DETERMINATION OF NET ASSET VALUE

The Board of Directors may suspend redemption rights, in whole or in part, or suspend the determination of Net Asset Value (i) during any period in which any stock exchange on which a substantial portion of the Fund's investments (or any Underlying Fund's investment) are quoted is closed, other than for ordinary holidays and weekends, or during periods in which dealings in such stock exchange are restricted or suspended; (ii) during any period in which, in the sole and absolute opinion of the Fund Manager, disposal of a substantial portion of investments by the Fund (or any Underlying Fund) would not be reasonable or practical; (iii) during any breakdown in the means of communication normally employed in determining the price or value of any Fund investment (or any Underlying Fund's investment) or current prices in any securities market, or when for any other reason the prices or values of any investments owned by the Fund (or by an Underlying Fund) cannot be reasonably or promptly ascertained; (iv) during any period in which the transfer of funds involved in the realization or acquisition of any investments by the Fund (or by Underlying Fund) cannot be effected at normal rates of exchange; (v) when there exists in the opinion of the Board of Directors a state of affairs where disposal of the Fund's assets, or the determination of the Net Asset Value of any Underlying Fund or of the Shares, would not be

reasonably practicable or would be seriously prejudicial to the non-redeeming Shareholders; and (vi) for any period during which the redemption of Shares would cause a breach or default under any covenant in any agreement entered into by the Fund (or by an Underlying Fund) for borrowing or cash management purposes.

Any suspension of redemptions and/or the determination of Net Asset Value, as the case may be, shall take effect at such time as the Board of Directors shall declare and, thereafter, there shall be no redemptions or determination of Net Asset Value, as the case may be, until the Board of Directors shall declare any such suspension to be at an end.

All Shareholders will be notified immediately by the Sub-Administrator of any suspension of redemptions or determination of Net Asset Value, or of any reinstatement following a suspension thereof and all reasonable steps will be taken to bring any suspension to an end as soon as possible.

OTHER FEES AND EXPENSES

The Administrator will receive from the Fund a monthly administrative fee for its services as at each Valuation Day and payable in arrears. The fees payable to the Administrator are based on its standard schedule of fees charged by the Administrator for similar services. These fees are detailed in the Administration Agreement.

These arrangements may be modified by subsequent agreement.

Distribution Fee

Distribution fees may be paid by the Fund Manager on subscriptions for Shares. The Fund may receive a distribution fee from an Underlying Fund, either directly or indirectly.

Underlying Funds

The Underlying Funds in which the Fund will invest will be subject to fees and expenses charged by other service providers as well as general operating expenses. These will include, but will not be limited to, formation expenses, custodian, administration, management and performance fees, audit expenses and other costs and expenses of the type described in relation to the Fund under "Other Fees and Expenses" below. To the extent that an Underlying Fund charges an initial fee, an amount equal to such fee will be deducted from the Fund's investment in such Underlying Fund.

Other

The Fund will also pay the costs and expenses of: (i) all transactions carried out by it or on its behalf; and (ii) the administration of the Fund and/or including (a) the charges and expenses of legal advisers and auditors, including in relation to due diligence on potential investments, (b) the cost of data feeds utilised by the Fund Manager, (c) brokers' commissions (if any), borrowing charges on securities sold short and any issue or transfer taxes chargeable in connection with any securities transactions, (d) all taxes and corporate fees payable to governments or agencies, (e) Directors' fees (if any) and expenses, (f) interest on borrowings, (g) such expenses incurred by

the Fund Manager in soliciting subscriptions for Shares as shall be approved by the Directors, (h) communication expenses with respect to investor services and all expenses of meetings of Shareholders and of preparing, printing and distributing financial and other reports, proxy forms, offering memorandums and similar documents, (i) the cost of insurance (if any) for the benefit of the Directors, (j) litigation and indemnification expenses and extraordinary expenses not incurred in the ordinary course of business, (k) all other organisational and operating expenses.

TAX ASPECTS

THE DISCUSSION HEREIN IS FOR INFORMATIONAL PURPOSES ONLY. EACH PROSPECTIVE SHAREHOLDER SHOULD CONSULT ITS PROFESSIONAL TAX ADVISOR WITH RESPECT TO THE TAX ASPECTS OF AN INVESTMENT IN THE FUND. TAX CONSEQUENCES MAY VARY DEPENDING UPON THE PARTICULAR STATUS OF A PROSPECTIVE SHAREHOLDER. IN ADDITION, SPECIAL CONSIDERATIONS (NOT DISCUSSED HEREIN) MAY APPLY TO PERSONS WHO ARE NOT DIRECT SHAREHOLDERS IN THE FUND BUT WHO ARE DEEMED TO OWN SHARES AS A RESULT OF THE APPLICATION OF CERTAIN ATTRIBUTION RULES. TAX AND OTHER RELEVANT INFORMATION FOR US INVESTORS IS CONTAINED WITHIN THE RELEVANT SUBSCRIPTION DOCUMENT.

Australia

On the basis that the Fund it is not a resident of Australia for taxation purposes and is expected to derive no income sourced in Australia, the Fund should not be subject to income tax in its own right in Australia. However, under Australian tax legislation as it currently exists Australian investors in the Fund are expected to be subject to income tax in Australia, under either the Controlled Foreign Company ("CFC") or the Foreign Investment Fund ("FIF") rules.

Both the CFC and FIF regimes are very complex, but in essence both involve the attribution of income of the FIF or CFC to the relevant Australian taxpayer that holds the interest in the CFC or FIF, using various calculation methodologies. The attribution of income essentially means that Australian taxpayers in the Fund are deemed to derive notional income for Australian purposes calculated in respect of the interest in the FIF or the CFC, even where that income is not realised by way of distribution or receipt. There are a number of exemptions to these attribution regimes that may be relevant in certain circumstances. As a broad concept, the attribution regimes are designed to ensure that where unrealised gains or income have been attributed to an Australian taxpayer, those gains or income when realised are not subject to further Australian income tax.

Due to the significant complexity of the CFC and FIF regimes in Australia, prospective investors should seek their own expert advice relative to their own circumstances before investing in the Fund. It is understood that the Australian CFC and FIF regimes are currently under review by the authorities and may at some stage in the future be subject to change.

Cayman Islands

The Government of the Cayman Islands, will not, under existing legislation, impose any income, corporate or capital gains tax, estate duty, inheritance tax, gift tax or withholding tax upon the Fund or the Shareholders. The Cayman Islands are not party to a double tax treaty with any country that is applicable to any payments made to or by the Fund.

The Fund has received an undertaking from the Governor-in-Cabinet of the Cayman Islands that, in accordance with section 6 of the Tax Concessions Law (2018 Revision) of the Cayman Islands, for a period of 20 years from the date of the undertaking, no law which is enacted in the Cayman Islands imposing any tax to be levied on profits, income, gains or appreciations shall apply to the Fund or its operations and, in addition, that no tax to be levied on profits, income, gains or appreciations or which is in the nature of estate duty or inheritance tax shall be payable (i) on or in respect of the shares, debentures or other obligations of the Fund or (ii) by way of the withholding in whole or in part of a payment of dividend or other distribution of income or capital by the Fund to its members or a payment of principal or interest or other sums due under a debenture or other obligation of the Fund.

Cayman Islands – Automatic Exchange of Financial Account Information

The Cayman Islands has signed a Model 1(b) (non-reciprocal) inter-governmental agreement with the United States (the "**US IGA**") to give effect to the US Foreign Account Tax Compliance Act ("**FATCA**"). Although the US IGA has been signed and came into force on 14 April, 2014, Cayman Islands legislation and regulations are still necessary to provide guidance on the application of the US IGA and to clarify, inter alia, the powers and responsibilities of the Cayman Islands Tax Information Authority (the "**Cayman TIA**"). Cayman Islands financial institutions ("**FIs**") that comply with the US IGA and the enabling legislation will be treated as satisfying the due diligence and reporting requirements of FATCA and accordingly will be treated as participating foreign financial institutions ("**Participating FFIs**") for the purposes of FATCA. As such, those FIs will be "deemed compliant" with the requirements of FATCA, will not be subject to withholding tax, and will not be required to close recalcitrant accounts.

The US IGA categorizes FIs as either "Reporting FIs" or "Non-Reporting FIs". By default, all Cayman FIs will be Reporting FIs, unless they qualify as Non-Reporting FIs. The categories of Non-Reporting FIs are specified in Annex II to the US IGA. A Reporting FI is (i) not required to enter an "FFI agreement" with the US Internal Revenue Service ("**IRS**"), (ii) required to register with the IRS to obtain a Global Intermediary Identification Number, (iii) required to conduct due diligence on its investors to identify whether accounts are held directly or indirectly by "Specified US Persons", and (iv) required to report information on such Specified US Persons to the Cayman TIA. The Cayman TIA will exchange the information reported to it with the IRS annually on an automatic basis. While a Non-Reporting FI will not be subject to these requirements, it will need to provide self-certification, on US tax forms, to withholding agents to avoid the imposition of the 30% withholding tax.

Under the terms of the US IGA and the relevant regulations, FATCA withholding tax will not be imposed on payments made to the Fund except to the extent the Fund, its investors or any other account holder fails to comply with its obligations under FATCA or the US IGA, or otherwise fails to comply with any other obligations it may have to the Fund with respect to the Fund's obligations under FATCA and/or the US IGA, as applicable. If the Fund is subject to such withholding tax, this will generally be at the rate of 30% of the relevant payment. Under the terms of the US IGA (as currently drafted), the Fund will not be required to withhold tax on payments made by the Fund to an account holder.

The Cayman Islands has also signed, along with over 80 other countries, a multilateral competent authority agreement to implement the OECD Standard for Automatic Exchange of Financial Account Information – Common Reporting Standard ("**CRS**" and together with the US IGA, "**AEOI**").

Cayman Islands regulations have been issued to give effect to the US IGA and CRS (collectively, the "**AEOI Regulations**"). Pursuant to the AEOI Regulations, the Cayman TIA has published guidance notes on the application of the US IGA and CRS.

All Cayman Islands "Financial Institutions" are required to comply with the registration, due diligence and reporting requirements of the AEOI Regulations, unless they are able to rely on an exemption that allows them to become a "Non-Reporting Financial Institution" (as defined in the relevant AEOI Regulations) with respect to one or more of the AEOI regimes, in which case only the registration requirement would apply under CRS. The Fund does not propose to rely on any Non-Reporting Financial Institution exemption and therefore intends to comply with all of the requirements of the AEOI Regulations.

The AEOI Regulations require the Fund to, amongst other things (i) register with the IRS to obtain a Global Intermediary Identification Number (in the context of the US IGA only), (ii) register with the Cayman TIA, and thereby notify the Cayman TIA of its status as a "Reporting Financial Institution", (iii) adopt and implement written policies and procedures setting out how it will address its obligations under CRS, (iv) conduct due diligence on its accounts to identify whether any such accounts are considered "Reportable Accounts", and (v) report information on such Reportable Accounts to the Cayman TIA. The Cayman TIA will transmit the information reported to it to the overseas fiscal authority relevant to a reportable account (e.g. the IRS in the case of a US Reportable Account) annually on an automatic basis.

By investing in the Fund and/or continuing to invest in the Fund, investors shall be deemed to acknowledge that further information may need to be provided to the Fund, the Fund's compliance with the AEOI Regulations may result in the disclosure of investor information, and investor information may be exchanged with overseas fiscal authorities. Where an investor fails to provide any requested information (regardless of the consequences), the Fund may be obliged, and/or reserves the right, to take any action and/or pursue all remedies at its disposal including, without limitation, compulsory redemption of the investor concerned and/or closure of the investor's account. In accordance with Cayman TIA issued guidance, the Fund is required to close an investor's account if a self-certification is not obtained within 90 days of account opening.

Israel

The Tax regime in Israel has changed dramatically over the past years and therefore Israeli Investors should consult their professional advisers on the possible tax and other consequences of their subscribing for, purchasing, holding, selling, exchanging or redeeming Shares under the laws of the State of Israel. The Directors, the Fund, the Fund Manager, the Administrator, the Sub-Administrator and each of their agents shall have no liability in respect of the individual tax affairs of Shareholders. Nothing in this Offering Memorandum shall serve as a commitment or

representation on behalf of any of the above with respect to the tax regime that will apply to the Fund.

General

The receipt of dividends (if any) by Shareholders, the redemption, exchange or transfer of Shares and any distribution on a winding-up of the Fund may result in a tax liability for the Shareholders according to the tax regime applicable in their various countries of residence, citizenship or domicile. Shareholders resident in or citizens of certain countries which have anti-offshore fund legislation may have a current liability to tax on the undistributed income and gains of the Fund.

The Directors, the Fund and each of the Fund's agents shall have no liability in respect of the individual tax affairs of Shareholders.

European Union Savings Directive

Dividends and other distributions of income made by the Administrator on behalf of the Fund, together with payment of the proceeds of sale and/or redemption of Shares ("**Payments**"), should not be subject to any reporting requirements that may arise as a result of the Reporting of Savings Income Information (European Union) Law (2014 Revision) and regulations made pursuant to such law (the "**Cayman EUSD Legislation**"). The Cayman EUSD Legislation implements measures similar to the EU Council Directive 2003/48/EC of June 3, 2003 on taxation of savings income in the form of interest payments (the "**EUSD**"). For the purpose of the Cayman EUSD Legislation, the Fund will be deemed to be a non-UCITS fund and therefore Payments by the Fund will be deemed to be "out of scope".

If an investor is based in the European Union or certain states which have similar or equivalent measures to the EUSD (including Switzerland, Channel Islands, Monaco and the Cayman Islands) and is making investments on behalf of other underlying investors who are individuals or certain unincorporated entities resident in the European Union or certain of the states which have similar or equivalent measures to the EUSD, then the provisions of the EUSD or similar or equivalent measures may apply. In such circumstances the investor may become a "**paying agent**" and may be required to obtain all relevant documentation relating to its underlying investors and make returns to the appropriate tax authorities or withhold tax at applicable rates from any redemption proceeds in accordance with the applicable legislation that implements the EUSD or similar or equivalent measures.

On November 10, 2015, the European Council repealed the EUSD with effect from January 1, 2016 (January 1, 2017 in the case of Austria) in order to avoid overlap with the requirements of the CRS and other tax information reporting regimes. It is anticipated that the Cayman Islands, together with those other jurisdictions which have adopted EUSD-equivalent legislation, will also give consideration in due course to the repeal of their EUSD-equivalent legislation in the light of the introduction of the CRS regime. The Cayman Islands government has recently issued an industry advisory, which confirms that Reporting of Savings Income Information for EUSD purposes is not required from 2017 onwards because this information will be covered by reporting under the CRS.

REGULATORY MATTERS

The Fund is regulated under the Mutual Funds Law (2015 Revision) of the Cayman Islands ("**Mutual Funds Law**"). The Cayman Islands Monetary Authority (the "**Authority**") has supervisory and enforcement powers to ensure compliance with the Mutual Funds Law. Regulation under the Mutual Funds Law entails the filing of prescribed details and audited accounts annually with the Authority. As part of being regulated under the Mutual Funds Law, the Authority may at any time instruct the Fund to have its accounts audited and to submit them to the Authority within such time as the Authority specifies. Failure to comply with these requests by the Authority may result in substantial fines on the part of the Directors and may result in the Authority applying to the court to have the Fund wound up.

The Fund will not, however, be subject to supervision in respect of its investment activities or the constitution of the Fund's portfolio by the Authority or any other governmental authority in the Cayman Islands, although the Authority does have power to investigate the activities of the Fund in certain circumstances. Neither the Authority nor any other governmental authority in the Cayman Islands has passed judgment upon or approved the terms or merits of this document. There is no investment compensation scheme available to investors in the Cayman Islands.

The Authority may take certain actions if it is satisfied that a regulated entity under the Mutual Funds Law is or is likely to become unable to meet its obligations as they fall due or is carrying on or is attempting to carry on business or is winding up its business voluntarily in a manner that is prejudicial to its investors or creditors. The powers of the Authority include the power to require the substitution of Directors, to appoint a person to advise the Fund on the proper conduct of its affairs or to appoint a person to assume control of the affairs of the Fund. There are other remedies available to the Authority including the ability to apply to court for approval of other actions.

The Fund Manager will be exercising its discretion to manage securities belonging to another person and will therefore be engaged in "securities investment business" in the Cayman Islands, as that term is defined in the Cayman Islands Securities Investment Business Law (2015 Revision) ("**SIBL**"). However, the Fund Manager will not be required to be licensed under SIBL, as the Fund Manager will be an "excluded person" by virtue of the fact that it will be providing its services solely to a "high net worth person", being a person or company whose net worth is at least $1,000,000 (for a person) or $5,000,000 (for a company). Although the Fund Manager is so exempted, it must initially and on an annual basis thereafter, file with the Cayman Islands Monetary Authority notification of its exemption and the relevant fee, which is approximately $6,100.

The Fund will not be registered under the Investment Company Act of the United States and neither will the Fund Manager initially be registered as an investment adviser in the United States. The Fund Manager is not registered as a portfolio manager pursuant to the Regulation of Investment Advice, Investments Marketing and Portfolio Management Services (1995) Act in Israel.

Save as aforesaid, no regulatory filings have been made in any country and the Fund will not be qualified for sale to the public in any country.

ANTI-MONEY LAUNDERING REGULATIONS

In order to comply with legislation aimed at the prevention of money laundering the Fund is required to adopt and maintain anti-money laundering procedures, and may require subscribers to provide evidence to verify their identity, the identity of their beneficial owners/controllers (where application), and source of funds. Where permitted, and subject to certain conditions, the Fund may also delegate the maintenance of its anti-money laundering procedures (including the acquisition of due diligence information to a suitable person).

The Fund, and the Administrator on the Fund's behalf, reserve the right to request such information from potential investors as they deem necessary to verify the identity of the subscriber (or a transferee) and the identity of their beneficial owners/controllers (where applicable) and source of funds. Where the circumstances permit, the Fund, or the Administrator on the Fund's behalf, may be satisfied that full due diligence may not be required at subscription where an exemption applies under the Anti-Money Laundering Regulations (2018 Revision) of the Cayman Islands, as amended and revised from time to time or any other applicable law. However, detailed verification information may be required prior to the payment of any proceeds from or any transfer of an interest in Shares.

In the event of delay or failure by the subscriber or the transferee, as applicable, in producing any information required for verification purposes, the Fund, or the Administrator on the Fund's behalf, may refuse to accept the application, or if the application has already occurred, may suspend or redeem any interest, in which case any funds received will be returned without interest to the account from which they were originally debited.

If any person in the Cayman Islands knows or suspects or has reasonable grounds for knowing or suspecting that another person is engaged in criminal conduct or money laundering or is involved with terrorism or terrorist financing and property and the information for that knowledge or suspicion came to their attention in the course of business in the regulated sector, or other trade, profession, business or employment, the person will be required to report such knowledge or suspicion to (i) the Financial Reporting Authority ("**FRA**") of the Cayman Islands, pursuant to the Proceeds of Crime Law (2018 Revision) of the Cayman Islands if the disclosure relates to criminal conduct or money laundering, or (ii) a police officer of the rank of constable or higher, or the FRA, pursuant to the Terrorism Law (2018 Revision) of the Cayman Islands, if the disclosure relates to involvement with terrorism or terrorist financing and property. Such a report shall not be treated as a breach of confidence or of any restriction upon the disclosure of information imposed by any enactment or otherwise.

Investors may obtain details (including contact details) of the current AML Compliance Officer, Money Laundering Reporting Officer and Deputy Money Laundering Reporting Officer of the Fund, by contacting the Investment Manager.

Sanctions

The Fund is subject to laws that restrict it from dealing with entities, individuals, organisations and/or investments which are subject to applicable sanctions regimes.

Accordingly, the Fund will require the subscriber to represent and warrant, on a continuing basis, that it is not, and that to the best of its knowledge or belief its beneficial owners, controllers or authorised persons ("**Related Persons**") (if any) are not; (i) named on any list of sanctioned entities or individuals maintained by the US Treasury Department's Office of Foreign Assets Control ("**OFAC**") or pursuant to European Union ("**EU**") and/or United Kingdom ("**UK**") Regulations (as the latter are extended to the Cayman Islands by Statutory Instrument), (ii) operationally based or domiciled in a country or territory in relation to which sanctions imposed by the United Nations, OFAC, the EU and/or the UK apply, or (iii) otherwise subject to sanctions imposed by the United Nations, OFAC, the EU or the UK (including as the latter are extended to the Cayman Islands by Statutory Instrument) (collectively, a "**Sanctions Subject**").

Where the subscriber or a Related Person is or becomes a Sanctions Subject, the Fund may be required immediately and without notice to the subscriber to cease any further dealings with the subscriber and/or the subscriber's interest in the Fund until the subscriber ceases to be a Sanctions Subject, or a licence is obtained under applicable law to continue such dealings (a "**Sanctioned Persons Event**"). The Fund, the directors, the Administrator and the Fund Manager shall have no liability whatsoever for any liabilities, costs, expenses, damages and/or losses (including but not limited to any direct, indirect or consequential losses, loss of profit, loss of revenue, loss of reputation and all interest, penalties and legal costs and all other professional costs and expenses) incurred by the subscriber as a result of a Sanctioned Persons Event.

Requests for Information

The Fund, or any directors or agents domiciled in the Cayman Islands, may be compelled to provide information, including, but not limited to, information relating to the subscriber, and where applicable the subscriber's beneficial owners and controllers, subject to a request for information made by a regulatory or governmental authority or agency under applicable law; e.g. by the Cayman Islands Monetary Authority, either for itself or for a recognised overseas regulatory authority, under the Monetary Authority Law (2018 Revision), or by the Tax Information Authority, under the Tax Information Authority Law (2017 Revision) or Reporting of Savings Income Information (European Union) Law (2014 Revision) and associated regulations, agreements, arrangements and memoranda of understanding. Disclosure of confidential information under such laws shall not be regarded as a breach of any duty of confidentiality and, in certain circumstances, the Fund, director or agent, may be prohibited from disclosing that the request has been made.

The Fund may impose additional requirements from time to time to comply with all applicable anti-money laundering laws, including the USA PATRIOT ACT.

CAYMAN ISLANDS BENEFICIAL OWNERSHIP REGIME

The Fund is regulated as a mutual fund under the Mutual Funds Law and, accordingly, does not fall within the scope of the primary obligations under Part XVIIA of the Companies Law (the "**Beneficial Ownership Regime**"). The Fund is therefore not required to maintain a beneficial ownership register. The Fund may, however, be required from time to time to provide, on request, certain particulars to other Cayman Islands entities which are within the scope of the Beneficial Ownership Regime and which are therefore required to maintain beneficial ownership registers under the Beneficial Ownership Regime. It is anticipated that such particulars will

generally be limited to the identity and certain related particulars of (i) any person holding (or controlling through a joint arrangement) a majority of the voting rights in respect of the Fund; (ii) any person who is a member of the Fund and who has the right to appoint and remove a majority of the board of directors of the Fund; and (iii) any person who has the right to exercise, or actually exercises, dominant direct influence or control over the Fund.

FISCAL YEAR

The Fund's fiscal year ends on 31 December of each year. The first fiscal year of the Fund was 31 December 2008.

LEGAL COUNSEL

Maples and Calder has acted as Cayman Islands counsel to the Fund in connection with this offering of Shares. In connection with this offering of Shares and ongoing advice to the Fund, the Fund Manager and its affiliates, Maples and Calder will not be representing Shareholders of the Fund. Legal counsel, in relation to all other aspects of law, other than Maples and Calder as to Cayman Islands law, have been retained to advise the Fund in connection with the offering of Shares. No independent counsel has been retained to represent Shareholders of the Fund.

Maples and Calder, PO Box 309, Ugland House, Grand Cayman, KY1-1104, Cayman Islands, acts as Cayman Islands legal counsel to the Fund. In connection with the Fund's offering of Shares and subsequent advice to the Fund, Maples and Calder will not be representing Shareholders. No independent legal counsel has been retained to represent the Shareholders. Maples and Calder's representation of the Fund is limited to specific matters as to which it has been consulted by the Fund. There may exist other matters that could have a bearing on the Fund as to which Maples and Calder has not been consulted. In addition, Maples and Calder does not undertake to monitor compliance by the Fund Manager and its affiliates with the investment program, valuation procedures and other guidelines set forth herein, nor does Maples and Calder monitor ongoing compliance with applicable laws. In connection with the preparation of this Memorandum, Maples and Calder's responsibility is limited to matters of Cayman Islands law and it does not accept responsibility in relation to any other matters referred to or disclosed in this Memorandum. In the course of advising the Fund, there are times when the interests of Shareholders may differ from those of the Fund. Maples and Calder does not represent the Shareholders' interests in resolving these issues. In reviewing this Memorandum, Maples and Calder has relied upon information furnished to it by the Fund and has not investigated or verified the accuracy and completeness of information set forth herein concerning the Fund.

INDEPENDENT AUDITORS; REPORTS

KPMG (Cayman Islands) has been retained as the independent auditors of the Fund. An annual report and audited financial statements of the Fund will be sent to Shareholders as soon as practicable or at the latest within six months of the end of the Fiscal Year. The Fund's financial statements will be prepared in accordance with IFRS.

Copies of the Fund's constitutional documents and annual and periodic reports of the Fund and the Service Agreements may be inspected and obtained at the offices of the Administrator.

CONFLICTS OF INTEREST

The Fund is subject to a number of actual and potential conflicts of interest. Certain inherent conflicts of interest arise from the fact that the Fund Manager and its affiliates will provide management and investment management services to the Fund and may carry on investment activities for other clients, including, without limitation, other investment funds, client accounts and proprietary accounts in which the Fund will have no interest and whose respective investment programs may or may not be substantially similar. The portfolio strategies employed for such other investment programs could conflict with the transactions and strategies employed in managing the Fund's portfolio and affect the prices and availability of the securities and instruments in which the Fund invests. Conversely, participation in specific investment opportunities may be appropriate, at times, for both the Fund and the other investment programs. In such case, participation in such opportunities will be allocated on an equitable basis, taking into account such factors as the relative amounts of capital available for new investments, relative exposure to short-term market trends, and the respective investment programs and portfolio positions of the Fund and the other investment programs. Such considerations may result in allocations of certain investments on other than a *pari passu* basis.

The Fund Manager and its members, officers and employees will devote as much of their time to the activities of the Fund as they deem necessary and appropriate. The Fund Manager and its affiliates are not restricted from forming additional investment funds, from entering into other investment management relationships or from engaging in other business activities, even though such activities may be in competition with the Fund and/or may involve substantial time and resources of the Fund Manager and its affiliates. Members of the Fund Manager may be engaged in similar activities and may act as an investment manager to investment funds that may be in competition with the Fund.

The Directors and the Administrator and the Sub-Administrator may also provide services to other investment programs and have similar conflicts of interest. However, the Directors shall, at all times, pay regard to their obligation to act in the best interests of the Fund, and the Directors will ensure that all such potential conflicts of interest are resolved fairly and in the interest of Shareholders. In addition, subject to applicable law, any of the Service Providers (including the Directors) may deal, as principal or agent, with the Fund, provided that such dealings are on normal commercial terms negotiated on an arm's length basis. It should also be noted that some of the Directors are also directors of the Fund Manager and/or its members or employees.

From time to time, representatives of the Fund Manager may speak at conferences and programs for investors interested in investing in hedge funds which are sponsored by prime brokers. These conferences and programs may provide opportunities by which the Fund Manager is introduced to potential investors in the Fund and other investment vehicles the assets of which it manages. Generally, the prime brokers are not compensated by the Fund Manager, the Fund or the potential investors for providing such "capital introduction" opportunities. In addition, prime brokers may provide financing and other services to the Fund and the Fund Manager. Consequently, such additional services by a prime broker may influence the Fund Manager in deciding whether to use the services of such prime broker in connection with the activities of the Fund.

From time to time, brokers may assist the Fund in raising additional funds from investors. In addition, from time to time, an investor may request that the Fund Manager direct brokerage to a broker affiliated with an adviser to the investor who had recommended that the investor invest in the Fund. Subject to its obligation to seek best execution, the Fund Manager may consider referrals of investors to the Fund, and requests by investors to direct brokerage, in determining its selection of brokers. However, the Fund Manager will not commit to an investor or broker to allocate a particular amount of brokerage in any such situation.

The above is not necessarily a comprehensive list of all actual and potential conflicts of interest.

SOFT COMMISSIONS

The Fund Manager may effect transactions or arrange for the effecting of transactions through brokers with whom it has soft commission agreements, and reserves the right to establish such arrangements in the future. In the event it does so, the benefits provided under such agreements would assist the Fund Manager in the provision of investment management services to the Fund and to other third parties. Specifically, whilst the Fund Manager will strive to get a low price, it might agree that a broker should be paid a commission in excess of the amount another broker would have charged for effecting such transaction so long as, in the good faith judgement of the Fund Manager, the amount of the commission is reasonable in relation to the value of the brokerage and other services provided or paid for by such broker. Such services, which may take the form of research, analysis and advisory services, market price services, electronic trade confirmation systems, third party electronic dealing or quotation systems, and computer hardware associated with specialised computer software or research services, may be used by the Fund Manager in connection with transactions in which the Fund will not participate. The Fund Manager will only effect a transaction with any person pursuant to a soft commission agreement where such person has undertaken to provide best execution and otherwise in compliance with the rules of the United Kingdom Financial Services Authority (the "**FSA**") and provided such soft commission arrangement is, where applicable, within the safe harbour created by section 28(e) of the US Securities Exchange Act of 1934, as amended or otherwise in compliance with all applicable rules and regulations. Soft commissions generated in respect of futures, currency and derivatives transactions and principal transactions (that are not riskless principal transactions) that do not generally fall within the safe harbour created by section 28(e) will be utilised only with respect to research related products and services for the benefit of the Fund.

CERTAIN RISK FACTORS

The nature of the Fund's investments involves substantial risks. The Fund and/or the Underlying Funds will utilize investment techniques (such as leverage, short selling and the use of derivatives) which may carry substantial risks. There can be no assurance that the Fund's investment objective or the investment objectives of the Underlying Funds will be achieved and investment results may vary substantially over time. Prospective investors should consider, among others, the following factors before subscribing for Shares:

Net Asset Value Considerations

The Net Asset Value per Share is expected to fluctuate over time with the performance of the Fund's investments. A Shareholder may not fully recover his initial investment when he chooses to redeem his Shares or upon compulsory redemption if the Net Asset Value per Share at the time of such redemption is less than the subscription price paid by such Shareholder.

Operating history

The Fund has started its operation on June 1st 2008. There can be no assurance that the Fund will achieve its investment objective. The past performance of the Fund cannot be construed as an indication to any future results or return of an investment in the Fund.

Currency Exposure

The Shares are denominated in US Dollars and will be issued and redeemed in this currency. Certain of the assets of the Underlying Funds may, however, be invested in securities and other investments which are denominated in currencies other than US Dollars. Accordingly, the value of the Shares may be affected favourably or unfavourably by fluctuations in currency rates and the Fund will therefore be subject to foreign exchange risks.

The Fund Manager may seek to hedge the foreign exchange exposure of the assets of the Fund in order to neutralize, so far as possible, the impact of fluctuations in the US Dollar exchange rate. Prospective investors whose assets and liabilities are denominated in other currencies should take into account the potential risk of loss arising from fluctuations in value between the US Dollar and other currencies.

Certain Underlying Funds may invest in emerging markets. Many emerging markets have inflationary economies where the risks associated with holding currency are significantly greater than in other, less inflationary markets. Currency exchange rates are highly volatile and subject to severe event risks, as the political situation with regard to the relevant foreign government may itself be volatile. Moreover, if the cash flow of the assets is contingent, it may be difficult to quantify the attendant cross-currency risk, compounding the risk of changes in underlying currencies by the other risks in the portfolio of the relevant Underlying Fund.

Leverage at Fund Level

The Fund may use borrowings for the purpose of making investments and/or funding redemptions. The use of borrowing creates special risks and may significantly increase the Fund's investment risk. Borrowing creates an opportunity for greater yield and total return but, at the same time, will increase the Fund's exposure to capital risk and interest costs. Any investment income and gains earned on investments made through the use of borrowings that are in excess of the interest costs associated therewith may cause the Net Asset Value of the Shares to increase more rapidly than would otherwise be the case. Conversely, where the associated interest costs are greater than such income and gains, the Net Asset Value of the Shares may decrease more rapidly than would otherwise be the case.

Leverage by Underlying Funds

Certain Underlying Funds in which the Fund may invest operate with a substantial degree of leverage and are not limited in the extent to which they either may borrow or engage in margin transactions. The positions maintained by such Underlying Funds may in aggregate value be in excess of the Net Asset Value of the Fund. This leverage presents the potential for a higher rate of total return but will also increase the volatility of the Fund, including the risk of a total loss of the amount invested by the Fund in the Underlying Fund that employs leverage.

Concentration of Investments

Each Underlying Fund may at certain times hold relatively few investments and may itself invest in another Underlying Fund. The Fund could be subject to significant losses if it, through one or more Underlying Funds, has exposure to a large position in a particular investment that declines in value or is otherwise adversely affected, including through the default of the issuer.

Lack of Regulatory Supervision

The Fund will invest in Underlying Funds established in jurisdictions where there is little or no regulatory supervision.

Other than registration with the Cayman Islands Monetary Authority, the offering of securities by the Fund has not been filed with or approved or disapproved by any regulatory authority of any country or jurisdiction (including Israel, the United States or the Cayman Islands), nor has any such regulatory authority passed upon or endorsed the merits of this Offering Memorandum or the accuracy or adequacy of this Offering Memorandum. Any representation to the contrary is unlawful.

Debt Securities

The Underlying Funds may invest in debt securities which may be unrated by a recognized credit-rating agency or below investment grade and which are subject to greater risk of loss of principal and interest than higher-rated debt securities. The Underlying Funds may invest in debt securities which rank junior to other outstanding securities and obligations of the issuer, all or a significant portion of which may be secured by substantially all of that issuer's assets. The Underlying Funds may invest in debt securities which are not protected by financial covenants or limitations on additional indebtedness. The Underlying Funds may therefore be subject to credit, liquidity and interest rate risks. In addition, evaluating credit risk for debt securities involves uncertainty because credit rating agencies throughout the world have different standards, making comparison across countries difficult. Also, the market for credit spreads is often inefficient and illiquid, making it difficult to accurately calculate discounting spreads for valuing financial instruments.

Derivatives

The Underlying Funds may utilize both exchange-traded and over-the-counter derivatives, including, but not limited to, futures, forwards, swaps, options and contracts for differences, as part of its investment policy and for hedging purposes. These instruments can be highly volatile

and expose investors to a high risk of loss. The low initial margin deposits normally required to establish a position in such instruments permit a high degree of leverage. As a result, depending on the type of instrument, a relatively small movement in the price of a contract may result in a profit or a loss which is high in proportion to the amount of funds actually placed as initial margin and may result in unquantifiable further loss exceeding any margin deposited. In addition, daily limits on price fluctuations and speculative position limits on exchanges may prevent prompt liquidation of positions resulting in potentially greater losses. Further, when used for hedging purposes there may be an imperfect correlation between these instruments and the investments or market sectors being hedged. Transactions in over-the-counter contracts may involve additional risk as there is no exchange market on which to close out an open position. It may be impossible to liquidate an existing position, to assess the value of a position or to assess the exposure to risk. Contractual asymmetries and inefficiencies can also increase risk, such as break clauses, whereby a counterparty can terminate a transaction on the basis of a certain reduction in net asset value of an Underlying Fund, incorrect collateral calls or delays in collateral recovery. The Underlying Funds may also sell covered and uncovered options on securities and other assets. To the extent that such options are uncovered, an Underlying Fund could incur an unlimited loss.

Emerging Markets

The Underlying Funds may invest in emerging markets. Investment in emerging market securities involves a greater degree of risk than an investment in securities of issuers based in developed countries. Among other things, emerging market securities investments may carry greater risks than investments of issuers based in developed countries, such as less publicly available information, more volatile markets, less strict securities market regulation, less favourable tax provisions, and a greater likelihood of severe inflation, unstable currency, war and expropriation of personal property. In addition, the relevant Underlying Fund's investment opportunities in certain emerging markets may be restricted by legal limits on foreign investment in local securities.

The economies of individual emerging countries may differ favourably or unfavourably from the economy of a developed country in such respects as growth of gross domestic product, rate of inflation, currency depreciation, asset reinvestment, resource self-sufficiency and balance of payments position. Further, the economies of emerging countries generally are heavily dependent upon international trade and, accordingly, have been, and may continue to be, adversely affected by trade barriers, exchange controls, managed adjustments in relative currency values and other protectionist measures imposed or negotiated by the countries with which they trade. These economies also have been and may continue to be adversely affected by economic conditions in the countries with which they trade. The economies of certain of these countries may be based, predominantly, on only a few industries and may be vulnerable to changes in trade conditions and may have higher levels of debt or inflation.

Where an Underlying Fund's assets are invested in narrowly defined sectors of a given economy, risk will be increased by potentially adverse developments within those sectors.

In addition to the foregoing investment restrictions, some emerging countries may require prior governmental approval for certain investments in such countries.

The Underlying Funds could be adversely affected by delays in or a refusal to grant any required governmental registration or approval for such repatriation.

Forward Foreign Exchange Contracts

The Fund and the Underlying Funds may enter into forward foreign exchange contracts. A forward foreign exchange contract is a contractually binding obligation to purchase or sell a particular currency at a specified date in the future. Forward foreign exchange contracts are not uniform as to the quantity or time at which a currency is to be delivered and are not traded on exchanges. Rather, they are individually negotiated transactions. Forward foreign exchange contracts are affected through a trading system known as the interbank market. It is not a market with a specific location but rather a network of participants electronically linked. Documentation of transactions generally consists of an exchange of telex or facsimile messages. There is no limitation as to daily price movements on this market and in exceptional circumstances there have been periods during which certain banks have refused to quote prices for forward foreign exchange contracts or have quoted prices with an unusually wide spread between the price at which the bank is prepared to buy and that at which it is prepared to sell. Transactions in forward foreign exchange contracts are not regulated by any regulatory authority nor are they guaranteed by an exchange or clearing house. The Fund and the Underlying Funds will be subject to the risk of the inability or refusal of its counterparties to perform with respect to such contracts. Any such default would eliminate any profit potential and compel the Fund or the relevant Underlying Fund to cover its commitments for resale or repurchase, if any, at the then current market price. These events could result in significant losses.

General Economic and Market Conditions

The success of the Underlying Funds' activities will be affected by general economic and market conditions, such as interest rates, availability of credit, inflation rates, economic uncertainty, and changes in laws, trade barriers, currency exchange controls and national and international political circumstances. These factors may affect the level and volatility of securities prices and the liquidity of the Underlying Funds' investments. Volatility or illiquidity could impair the Underlying Funds' profitability or result in losses.

Liquidity and Market Characteristics

In some circumstances, investments may be relatively illiquid making it difficult to acquire or dispose of them at fair value prices. Accordingly, the Underlying Funds' ability to respond to market movements may be impaired and such Fund may experience adverse price movements upon liquidation of its investments. Settlement of transactions may be subject to delay and administrative uncertainties.

The market prices, if any, for such illiquid investments tend to be volatile and may not be readily ascertainable and the relevant Underlying Fund may not be able to sell them when it desires to do so or to realize what it perceives to be their fair value in the event of a sale. The sale of restricted and illiquid securities often requires more time and results in higher brokerage charges or dealer discounts and other selling expenses than does the sale of securities eligible for trading on national securities exchanges or in the over-the-counter markets. The Underlying Funds may not be able to readily dispose of such illiquid investments and, in some cases, may be contractually

prohibited from disposing of such investments for a specified period of time. Restricted securities may sell at a price lower than similar securities that are not subject to restrictions on resale.

Liquidity of Underlying Funds

There can be no assurance that the liquidity of the investments of Underlying Funds will always be sufficient to meet redemption requests as, and when, made. Any lack of liquidity of Underlying Funds may affect the liquidity of the Shares of the Fund and the value of its investments.

For such reasons the treatment of redemption requests may be deferred in exceptional circumstances including if a lack of liquidity may result in difficulties in determining the Net Asset Value and the Net Asset Value per Share.

The Underlying Funds may be adversely affected by a decrease in market liquidity for the instruments in which they invest which may impair the Underlying Funds' ability to adjust their positions. The size of the Underlying Funds' positions may magnify the effect of a decrease in market liquidity for such instruments. Changes in overall market leverage, deliberating as a consequence of a decision by the counterparties with which the Underlying Funds enter into repurchase/reverse repurchase agreements or derivative transactions, to reduce the level of leverage available, or the liquidation by other market participants of the same or similar positions, may also adversely affect the Underlying Funds' portfolios.

Effect of Substantial Redemptions

Substantial redemptions by Shareholders in the Fund, or Shareholders in Underlying Funds, within a short period of time could require the Fund or the relevant Underlying Fund, as the case may be, to liquidate positions more rapidly than would otherwise be desirable, possibly reducing the value of the Fund's or the relevant Underlying Fund's assets and/or disrupting the relevant investment manager's investment strategy. Reduction in the size of the Fund or an Underlying Fund could make it more difficult to generate a positive return or to recoup losses due to, among other things, reductions in the Fund's or the relevant Underlying Fund's, as the case may be, ability to take advantage of particular investment opportunities or decreases in the ratio of its income to its expenses.

Nature of the Fund's Investments

Although the Fund Manager will seek to monitor the investments and trading activities of the Underlying Funds which are managed by third parties in which the Fund may invest, investment decisions will normally be made independently at the level of such Underlying Funds and it is possible that some Underlying Funds will take positions in the same security or in issues of the same industry or country at the same time. Consequently, the possibility also exists that one such Underlying Fund may purchase an instrument at about the same time as another Underlying Fund decides to sell it. There can be no guarantee that the selection of the investment manager of such Underlying Funds will actually result in a diversification of investment styles and that the positions taken by the Underlying Funds will always be consistent.

There will be only very limited constraints on the investment strategies and techniques that can be employed by the Underlying Funds.

As a result of its investments, the Fund may incur other risks, including currency exchange risks in respect of assets held in other currencies, tax risks in respect of assets invested in other jurisdictions, risks relating to political, social and economic factors which may affect the assets of the Underlying Funds in which the Fund invests.

Prime Brokers and Custodians

Under the arrangements between Underlying Funds and their prime brokers and custodians, the prime brokers and custodians will have rights to identify as collateral, to rehypothecate or to otherwise use for their own purposes assets held by them for the Underlying Funds from time to time. Legal and beneficial title to such assets have been transferred to the relevant prime broker and custodian. The Underlying Funds will have only a contractual right to the return of assets equivalent to those of the relevant assets. The Underlying Funds will rank as one of the unsecured creditors of the relevant prime broker and custodian. In the event of the insolvency of one of the Underlying Funds' prime brokers and custodians, the relevant Underlying Fund might not be able to recover such equivalent assets in full.

Profit Sharing

In relation to certain of the Underlying Funds, in addition to receiving an investment management fee, the investment manager of those Underlying Funds (including the Fund Manager) may also receive a performance fee based on the appreciation in the net asset value of such Underlying Fund, and accordingly the performance fee will increase with regard to unrealized, as well as realized gains. Such performance fee may create an incentive for the Fund Manager to make investments for such Underlying Funds which are riskier than would be the case in the absence of a fee based on the performance of the Underlying Funds.

Regulatory Risks of Hedge Funds

The regulatory environment for hedge funds is evolving and changes therein may adversely affect the ability of Underlying Funds to obtain leverage they might otherwise obtain or to pursue their investment strategies. In addition, the regulatory or tax environment for derivative and related instruments is evolving and may be subject to government or judicial action which may adversely affect the value of investments held by Underlying Funds. The effect of any future regulatory or tax change on Underlying Funds or the Fund is impossible to predict.

Short Sales

The Underlying Funds in which the Fund will invest may engage in short selling of securities which may expose a portion of an Underlying Fund's assets committed to such activities to unlimited risk due to the lack of an upper limit on the price to which a security may rise. However, to the extent that the Fund has exposure to short selling activities through an Underlying Fund, the Fund's losses will be limited to the amount invested in the particular Underlying Fund.

Underlying Funds

The Underlying Funds may invest in and actively trade instruments with significant risk characteristics, including, but not limited to, risks arising from the volatility of securities, financial futures, derivatives, currency and interest rate markets, the leverage factors associated with trading in such markets and instruments, and the potential exposure to loss resulting from counterparty defaults. There can be no assurance that an Underlying Fund's investment program will be successful or that the investment objective of an Underlying Fund will be achieved.

Certain income received by the Underlying Funds may be subject to withholding tax, and income or gains of the Underlying Funds may also be subject to tax. Such tax will not be recoverable by the Fund. An Underlying Fund's investment approach may involve a high level of trading and turnover of the Underlying Fund's investments which may generate substantial transaction costs which will be borne by that Underlying Fund.

Amortization of Organizational Costs

The Fund's financial statements will be prepared in accordance with IFRS. The Fund may, at the discretion of the Directors, amortize its organizational costs over a period of time and, if they do, the financial statements may be qualified in this regard.

Cross Class Liabilities

The Fund has the power to issue Shares in classes. The Articles provide for the manner in which the liabilities are to be attributed across the various classes (liabilities are to be attributed to the specific class in respect of which the liability was incurred). However, the Fund is a single legal entity. Shareholders of one or more classes of Shares may be compelled to bear the liabilities incurred in respect of other classes which such Shareholders do not themselves own if there are insufficient assets in that other class to satisfy those liabilities. Accordingly, there is a risk that liabilities of one class may not be limited to that particular class and may be required to be paid out of one or more other classes.

US Tax-Exempt Investors

Certain prospective investors may be subject to US federal and state laws, rules and regulations which may regulate their participation in the Fund, or their engaging directly, or indirectly through an investment in the Fund, in investment strategies of the types which the Fund may utilize from time to time. Each type of US Tax-Exempt Investor may be subject to different laws, rules and regulations and should consult with their own advisors as to the advisability and tax consequences of an investment in the Fund. Investment in the Fund by US Tax-Exempt Investors requires special consideration. Trustees or administrators of such investors are urged carefully to review the matters discussed in this Offering Memorandum and the relevant Application Form.

Terrorist Action.

There is a risk of terrorist attacks on the United States, Israel and elsewhere which may cause significant loss of life and property damage and disruptions in global markets. Economic and diplomatic sanctions may be in place or imposed on certain states and military action may be commenced. The impact of such events is unclear, but could have a material effect on general economic conditions and market liquidity.

Handling of mail

Mail addressed to the Fund and received at its registered office will be forwarded unopened to the forwarding address supplied by the Fund to be dealt with. None of the Fund, its directors, officers, advisors or service providers (including the organization which provides registered office services in the Cayman Islands) will bear any responsibility for any delay howsoever caused in mail reaching the forwarding address. In particular the Directors will only receive, open or deal directly with mail which is addressed to them personally (as opposed to mail which is addressed just to the Fund).

Subscription Monies

Where a subscription for Shares is accepted, the Shares will be treated as having been issued with effect from the relevant Subscription Date notwithstanding that the subscriber for those Shares may not be entered in the Fund's register of members until after the relevant Subscription Date. The subscription monies paid by an applicant for Shares will accordingly be subject to investment risk in the Fund from the relevant Subscription Date.

THE FOREGOING LIST OF RISK FACTORS DOES NOT PURPORT TO BE A COMPLETE ENUMERATION OR EXPLANATION OT THE RISKS INVOLVED IN AN INVESTMENT IN THE FUND. PROSPECTIVE INVESTORS SHOULD READ THIS ENTIRE OFFERING MEMORANDUM AND THE DOCUMENTS REFERRED TO HEREIN AND RECEIVE INDEPENDENT LEGAL, TAX AND FINANCIAL ADVICE BEFORE DECIDING TO INVEST IN THE FUND.

MISCELLANEOUS

Other than investing in Underlying Funds, the Fund's assets will substantially only be held with:

- the Depositary to the Fund and/or the sub-custodian; or
- any other custodian that may be appointed to the Fund from time to time.

and may maintain a cash reserve as it may deem prudent and may invest such reserve in any manner it determines in order to reasonably preserves it assets.

There are no legal, arbitration or other proceedings pending or threatened against the Fund, nor have there been since its incorporation.

As at the date of this document, the Fund has no loan capital (including term loans) outstanding or created but unissued, and no outstanding mortgages, charges, debentures or other borrowings, including bank overdrafts and liabilities under acceptances or acceptance credits, hire purchase or finance lease commitments, guarantees or other contingent liabilities.

The following documents are available for inspection for a period of fourteen Calendar days from the date of this document or for the duration of the Initial Offer Period, if longer, during normal business hours at the offices of the Administrator:

(i) the Memorandum and Articles of Association of the Fund;

(ii) the material contracts referred to herein;

(iii) the Companies Law (2018 Revision) of the Cayman Islands; and

(iv) a list of past and current directorships and partnerships held by each Director over the last 5 years.

DEFINITIONS

"Administrator"	means, the administrator to the Fund or any successor or replacement administrator. Citco Fund Services (Cayman Islands) Limited has been appointed pursuant to an Administration Agreement dated March 2010
"Articles"	the Memorandum and Articles of Association of the Fund, as the same may be amended and/or restated from time to time
"Base Net Asset Value per Share"	The Base Net Asset Value per Share is the greater of the Net Asset Value per Share of the relevant class at the time of issue of that Share and the highest Net Asset Value per Share of the relevant class achieved as of the end of any previous Calculation Period (if any) during which such Share was in issue
"Benefit Plan Investor"	a benefit plan investor as defined in regulations issued by the US Department of Labor, being employee benefit plans as defined in Section 3(3) of ERISA (whether or not subject to Title I of ERISA), plans described in Section 4975(e)(i) of the IRC, government plans, Church plans, foreign pension plans, insurance company general and separate accounts and entities the underlying assets of which include plan assets
"Business Day"	any day on which banks are open for normal banking business in Dublin, London and the Cayman Islands
"Calculation Period"	a period of twelve months ending on 31st December each year, save that the first calculation period will commence upon the first allotment of Shares
"Calendar Day"	each calendar day
"CFTC"	the Commodity Futures Trading Commission of the United States
"Depositary"	means, the depositary to the Fund or any successor or replacement depositary. Citco Custody Limited (the "Depositary") has been appointed pursuant to a Depositary Agreement dated September 2013 to provide depositary and order processing services

"Directors"	the members of the board of directors of the Fund from time to time including any duly constituted committee thereof
"ERISA"	the US Employee Retirement Income Security Act of 1974, as amended
"Fiscal Year"	The Fund's fiscal year ends on 31 December of each year. The first fiscal year of the Fund ended on 31 December 2008
"Founder Shares"	Founder Shares of par value US$1.00 in the Fund
"Fund"	BSP Absolute Return Fund of Funds Ltd.
"Fund Manager"	BSP Advisors Ltd.
"Initial Offer Period"	the initial offer of Shares was closed at 12.00 a.m. (Luxembourg time) on the 29th day of May 2008 unless otherwise determined by the Directors
"IFRS"	the International Financial Reporting Standard according to the International Accounting Standards Board
"IRC"	the US Internal Revenue Code of 1986, as amended
"Management Agreement"	the management agreement between the Fund and the Fund Manager
"Management Fee"	the management fee payable by the Fund to the Fund Manager
"Minimum Holding"	US$500,000, unless otherwise determined by the Directors subject to an absolute minimum of US$100,000
"Net Asset Value" or "NAV"	means the total value of the Fund's assets minus its liabilities
"Net Asset Value per Share"	the net asset value of the relevant class divided by the number of Shares of that class in issue
"Participating Shares"	Participating Shares of par value US$0.01 in the Fund
"Performance Fee"	the Performance Fee payable by the Fund to the Fund Manager

"Performance Fee Redemption"	redemption at par value such number of the investor's Shares of the relevant class that have an aggregate Net Asset Value (after accrual for any Performance Fee) equal 10 per cent of any such appreciation in excess of the hurdle
"Principal Brokers"	a broker, registered with and regulated by the CFTC or the FSA and which has financial resources in excess of $20 million (or its equivalent in another currency), which enters into transactions in investments on its own account or on a principal to principal basis
"Qualifying Investor"	a person who is eligible to acquire or hold Shares, directly or indirectly, in accordance with applicable laws and regulations as further described under "Offering of Shares: Investor Requirements"
"Recognised Exchange"	any regulated market or exchange (which is an exchange within the meaning of the law of the country concerned relating to exchanges) in the European Union, the Organisation for Economic Co-operation and Development, Hong Kong, Singapore and South Africa, NASDAQ, NASDAQ Europe, the market in US government securities which is conducted by primary dealers which are regulated by the Federal Reserve Bank of New York, the market in transferable securities conducted by primary dealers and secondary dealers which are regulated by the US Securities and Exchange Commission and by the National Association of Securities Dealers and the over-the-counter market in Tokyo regulated by the Securities Dealers Association of Japan
"Redemption Day"	unless otherwise determined by the Directors, the last Business Day of each of the following months: December, March, June, September
"Reference Net Asset Value per Share"	the Reference Net Asset Value per Share is the greater of the Net Asset Value per Share of the relevant class in effect immediately after 31 December in any subsequent year (being the end of a Calculation Period) in respect of which a Performance Fee (other than a Performance Fee Redemption) was charged. For these purposes, In case of transfer of Shares, such Shares will be treated as if they were redeemed (by the transferor) and subscribed for (by the transferee) on the date of the transfer at the most recent subscription price

"Separate Account"	a separate account established in the books of the Fund in respect of each class
"Service Agreements"	agreements with the Service Providers of the Fund
"Service Providers"	the service providers of the Fund, as they may be from time to time, including, inter alia, the Fund Manager, the Administrator, the Sub-Administrator, the Auditors and the legal advisors
"Shares"	all classes of Participating Shares together
"Specified Credit Rating"	a minimum credit rating of 'A' for long term debt from the credit agency of Moody's or Standard & Poor's and a minimum of 'P-2' or 'A 1', respectively for short term debt from the same agencies
"Subscription Day"	unless otherwise determined by the Directors, each Valuation Day
"Sub-Administrator"	means Citco Fund Services (Ireland) Limited
"Underlying Fund"	a fund which the Fund invests or may invest in
"United States" or "US"	the United States of America (including the states and District of Columbia) and any of its territories, and any other areas subject to its jurisdiction
"US Person"	a citizen or resident of the United States, a corporation, partnership or other entity created or organised in or under the law of the United States or any person falling within the definition of the term "US person" under Regulation S promulgated under the Securities Act of 1933 of the United States, as amended
"Valuation Day"	the last Business Day of each month, unless otherwise determined by the Directors

In this Offering Memorandum, unless otherwise stated, all references

- to "US Dollars" and "US$" are to the lawful currency of the United States
- to time are to Irish Time

APPENDIX A
Geographical Restriction on Distribution

This information hereof, is presented as general guidance only and prospective investors are urged to receive independent advice, prior to investing in the Fund.

Australia: This document is not a disclosure document for the purposes of the Corporations Act 2001 (Cth) and has not been lodged with the Australian Securities and Investment Commission nor is the Fund a registered or required to be registered as a Managed Investment Scheme. The offer of Shares under this Offering Memorandum is limited to Australian resident "wholesale clients", as defined in the Corporations Act 2001 (Cth). This Offering Memorandum does not constitute an offer to any person in Australia other than a "wholesale client".

Austria: The Fund may be an alternative investment fund for the purposes of the Austrian Alternative Investment Funds Manager Act (Alternative Investmentfonds Manager-Gesetz – the "AIFMG") and may not be marketed in Austria to prospective investors domiciled or with a registered office in a member state of the EEA.

As regards persons who are not prospective investors domiciled or with a registered office in a member state of the EEA ("Other Persons"), the communication in Austria of this Offering Memorandum or of any invitation or inducement to invest in Shares is restricted by law. Accordingly, this Offering Memorandum is directed only at Other Persons to whom such an invitation or inducement may lawfully be communicated. Investment in the Shares is available only to such Other Persons, and persons of any other description may not rely on the information in this Offering Memorandum. This Offering Memorandum is not a prospectus or other official document pursuant to the AIFMG or the Austrian Capital Markets Act (Kapitalmarktgesetz) or the Austrian Investment Funds Act (Investmentfondsgesetz) or any other Austrian law and has not been approved by or registered with any public authority in Austria. This Offering Memorandum and any other materials relating to the Shares are strictly confidential and may not be distributed to any person or entity other than the recipients hereof. This Offering Memorandum as well as any information contained therein may not be supplied to persons that are not Other Persons and in particular not to the public in Austria. This Offering Memorandum and any other materials relating to the Shares are for informational purposes only and do not constitute investment advice. The Fund has not been registered with the Austrian Federal Ministry of Finance. Accordingly, the Shares may not be offered to the public in the Republic of Austria and neither this Offering Memorandum (which has not been prepared in accordance with Austrian law such as the Investment Fund Act and has not been published or submitted to the Oesterreichische Kontrollbank Aktiengesellschaft) nor any offering material or information relating to the Fund may be supplied to the public in Austria.

Belgium: The Fund has not been and will not be registered with the Belgian Financial Services and Markets Authority ("FSMA") as a foreign collective investment undertaking referred to under Article 149 of the Belgian Act of August 3, 2012 relating to certain forms of collective management of investment portfolios, as subsequently. This Offering Memorandum and the offering of the Shares have not been and will not be notified to, and have not been approved or disapproved by, the FSMA. The public offering of the Shares in Belgium within the meaning of the Belgian Act of August 3, 2012, and the Belgian Act of June 16, 2006 on the public offering of investment instruments and the admission of investment instruments to listing on a regulated market has not been authorized by the Fund. The offering may therefore not be advertised, and

the Shares may not be offered, sold, transferred or delivered to, or subscribed to by, and no prospectus, information circular, brochure or similar document may be distributed to, directly or indirectly, any individual or legal entity in Belgium, except (i) it was addressed solely to Eligible Investors; (ii) it was addressed to fewer than 150 natural or legal persons per EEA member state, other than Eligible Investors; (iii) it was addressed to investors who acquire securities of the open ended type for a total consideration of at least EUR 250,000 per investor, for each separate offer; (iv) it was an offer of securities with a total consideration of less than EUR 100 000, which limit shall be calculated over a period of 12 months; or (iv) in any other circumstances in which the present offering does not qualify as a public offering in accordance with the aforementioned Act of August 3, 2012 and the Act of June 16, 2006. This Offering Memorandum has been issued to the intended recipient for personal use only and exclusively for the purpose of the offering. Therefore, it may not be used for any other purpose, nor passed on to any other person in Belgium.The offering of Shares has not been and will not be notified to the Belgian Banking, Finance and Insurance Commission (Commissie Voor Het Bank, Financie-en Assurantiewezen/Commission Bancaire, Financière et des Assurances) nor has this Offering Memorandum been, nor will it be, approved by the Belgian Banking, Finance and Insurance Commission. The Shares may be offered in Belgium only to individuals or legal entities investing a minimum of €250,000, in reliance on Article 3, 1° of the Royal Decree of July 7 1999 on the public character of transactions which aim to solicit public savings and the assimilation of certain transactions with a public offer. This Offering Memorandum may be distributed in Belgium only to such investors for their personal use and exclusively for the purposes of this offering of Shares. Accordingly, this Offering Memorandum may not be used for any other purpose nor passed on to any other investor in Belgium.

Cayman Islands: No offer or invitation may be made to the public in the Cayman Island to subscribe for the Shares.

Denmark: This offering will not be registered with and has not been approved by or otherwise published by the Danish Financial Supervisory Authority, the Danish Securities Council or the Danish Business Authority under the relevant Danish acts and regulations.

This offering of the Shares is not subject to the obligation of publishing a prospectus pursuant to Sections 23 and 24 of the Danish Securities Trading Act as the units have been and will only be offered or sold in accordance with the exemptions as set out in sections 13 and/or 14 of the Executive Order No 643 of 19 June 2012 issued pursuant to the Danish Securities Trading Act and as amended or replaced from time to time.

The Shares may not be offered or sold, delivered or otherwise distributed directly or indirectly in Denmark by way of a public offering unless in compliance with Chapter 6 or 12 of the Danish Securities Trading Act and executive orders issued pursuant thereto and as amended or replaced from time to time.

In the event of any resale to third parties, the resale will be qualified as a separate offering subject to the requirements of the Danish Securities Trading Act. The Fund is not authorized under the Danish Act on Investment Associations and Special-Purpose Associations or the Danish Statutory Order on Marketing carried out by certain Foreign Undertakings for Collective Investment in Transferable Securities (UCITS) and certain (ii) Collective Investment Undertakings in Denmark. Accordingly, Shares may not be marketed in Denmark and this

Offering Memorandum or other document or offering and marketing material relating to the Shares may not be published or distributed in Denmark.

Finland: The Shares may be offered in Finland only to "professional clients" as defined in the Finnish Investment Services Act (747/2012, as amended). This Offering Memorandum has neither been filed with nor approved by the Finnish Financial Supervisory Authority and it does not constitute a prospectus under the Prospectus Directive (2003/71/EC, as amended) or the Finnish Securities Market Act (746/2012, as amended) or a key investor information document under the Alternative Investment Fund Managers Directive (2011/61/EU) or the Finnish Alternative Investment Fund Managers Act (2013, as amended). This Offering Memorandum does not constitute an offering circular (tarjousesite) or listing particulars (listalleottoesite) under the Finnish Securities Market Act (1989/495) nor has it been filed with or approved by the Finnish Financial Supervision Authority. The Shares in the Fund must not be offered or sold directly or indirectly in the Republic of Finland or to residents of Finland other than in compliance with all applicable provisions of the laws of the Republic of Finland and especially in compliance with the Finnish Securities Market Act and any regulations made thereunder, as supplemented and amended from time to time.

France: The Shares may not be offered, directly or indirectly, in France and neither this Offering Memorandum nor any other offering material relating to the AIFM, the Fund or the Shares have been distributed or caused to be distributed or will be distributed or caused to be distributed in France. This Offering Memorandum is not being distributed in the context of a public offer in France and has not been submitted to the Autorité des Marchés Financiers for prior approval. This Offering Memorandum is not to be further distributed or reproduced (in whole or in part) by the addressee and has been distributed on the understanding that the addressee invests for its own account and undertakes not to transfer, directly or indirectly, the Shares to the public in France, other than in compliance with applicable laws and regulations.

Germany: This Offering Memorandum is for informational purposes only and is strictly confidential.

The Shares have not been notified to, registered with or approved by the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht - BaFin) for public offer or public distribution under German law.

In Germany, the Shares in the Fund may only be advertised, offered, distributed and sold to professional investors as defined in section 2 (1) No. 32 and 33 of the Capital Investment Code (Kapitalanlagegesetzbuch - KAGB). The units may not, have not and will not be advertised, offered, distributed or sold to retail investors. Any person who is in possession of this Offering Memorandum understands that no action has or will be taken which would allow an offering of the Shares to the public in Germany. Accordingly, the Shares may not be offered, sold or delivered and neither this Offering Memorandum nor any other offering materials relating to the Shares may be distributed or made available to the public in Germany. Individual sales of the Shares to any person in Germany may only be made according to German securities, tax and other applicable laws and regulations.

Hong Kong: The contents of this Offering Memorandum have not been reviewed by any regulatory authority in Hong Kong. You are advised to exercise caution in relation to this offer. If

you are in any doubt about any of the contents of this document, you should obtain independent professional advice. The Fund is not authorised by the Securities and Futures Commission in Hong Kong pursuant to Section 104 of the Securities and Futures Ordinance of Hong Kong and a copy of this Offering Memorandum has not been registered by the Registrar of Companies in Hong Kong pursuant to Section 342C of the Companies Ordinance of Hong Kong. This Offering Memorandum must not, therefore, be issued, or possessed for the purpose of issue, to persons in Hong Kong other than (1) to professional investors within the meaning of the Securities and Futures Ordinance of Hong Kong (including professional investors falling within the Securities and Futures (Professional Investors) Rules) or (2) in circumstances which would not constitute an offer to the public or any section thereof.

Ireland: NOTHING IN THESE MATERIALS CONSTITUTE, IS INTENDED TO CONSTITUTE, SHALL BE TREATED AS CONSTITUTING OR SHALL BE DEEMED TO CONSTITUTE, ANY OFFER OR SALE OF SECURITIES IN THE REPUBLIC OF IRELAND WHICH WOULD CONSTITUTE AN "OFFER OF SECURITIES TO THE PUBLIC" OR THE INWARD MARKETING OF AN INVESTMENT FUND.

THIS OFFERING MEMORANDUM, HAS NOT BEEN PREPARED IN ACCORDANCE WITH DIRECTIVE 2003/7I/EC ON PROSPECTUS OR ANY MEASURES MADE UNDER THAT DIRECTIVE OR THE LAWS OF THE REPUBLIC OF IRELAND OR OF ANY EU MEMBER STATE OR EEA TREATY ADHERENT STATE THAT IMPLEMENT THAT DIRECTIVE OR THOSE MEASURES, HAS NOT BEEN REVIEWED, PRIOR TO ITS BEING ISSUED, BY ANY REGULATORY AUTHORITY IN IRELAND OR IN ANY OTHER EU MEMBER STATE OR EEA TREATY ADHERENT STATE, AND THEREFORE MAY NOT CONTAIN ALL THE INFORMATION REQUIRED WHERE A DOCUMENT IS PREPARED PURSUANT TO THAT DIRECTIVE OR THOSE LAWS.

It is the responsibility of any person in possession of this Offering Memorandum and any related materials to inform themselves of and to observe all applicable laws and regulations of the countries of his nationality, residence, ordinary residence or domicile. If you are in any doubt about the contents of this document, you should consult your financial consultant, stockbroker, lawyer, accountant or other professional adviser.

By your acceptance and use of this document you (i) accept and agree to the foregoing; (ii) represent that you are qualified to receive these materials: and (iii) agree not to copy or circulate these materials or any information in them to any other person without the express consent of AIFM. This Offering Memorandum does not constitute or form part of any offer or invitation to the public to subscribe for or purchase Shares in the Fund and shall not be construed as such and no person other than the person to whom this Offering Memorandum has been addressed or delivered shall be eligible to subscribe for or purchase Shares in the Fund. Shares in the Fund will not in any event be marketed in Ireland without the prior authorization of the Financial Regulator.

Israel:
This Offering Memorandum has not been approved for public offering by the Israeli Securities Authority and will be distributed in Israel only in a manner that will not constitute “an offer to the public” under Sections 15 and 15A of the Israel Securities Law, 5728-1968 (the “Securities Law”). The Shares may be offered to a limited number of investors (35 investors or less) and to special types of investors which are included in the categories of investors listed in the first

addendum to the Securities Law, as amended from time to time ("Qualified Investors" and the "First Addendum", respectively), such as: joint investment trust funds, provident funds, managing companies of provident funds, insurers, banking corporations (purchasing securities for themselves and for clients who are Qualified Investors), portfolio managers (purchasing securities for themselves and for clients who are Qualified Investors), investment advisors or investments marketers (purchasing securities for themselves), members of the Tel-Aviv Stock Exchange (purchasing securities for themselves and for clients who are Qualified Investors), underwriters, high risk funds, corporations wholly-owned by Qualified Investors, corporations, which were not incorporated for the purpose of purchasing securities in a specific offer whose net wealth exceeds NIS 50 million; and individuals, subscribing for Shares for themselves, who meet two of the following three criteria: (i) the total value of cash, deposits, financial assets and securities which they own exceeds NIS12 million; (ii) they have expertise in financial markets or were employed or engaged for at least one year in a position that required expertise in financial markets; and (iii) they have executed (self execution and not through a broker dealer) an average of not less than 30 transactions in each quarter for the last four quarters prior to the date of their consent; in all cases under circumstances that will fall within the private placement exemption or other exemptions of the Securities Law or Joint Investment Trusts Law 5754-1994.
Prior to purchasing the Shares, Qualified Investors shall be required to submit written authorisation that (a) they fall within the scope of the First Addendum; and (b) confirm that they are aware of the implication of being considered as investors included in the First Addendum and consent to be considered as such.
This Offering Memorandum may not be reproduced or used for any other purpose, nor be furnished to any person other than those to whom copies have been sent. Nothing in this Offering Memorandum should be considered as investment advice as defined in the Regulation of Investment Advice, Investments Marketing and Portfolio Management Law, 5755-1995 or constitute an offer to sell or solicitation of an offer to buy Shares. Investors are encouraged to seek competent investment counseling from a locally licensed investment counselor prior to making the investment.

Italy: Shares may not be offered or sold and the Offering Memorandum, or any circular, advertisement or other document or offering material relating to the Shares, may not be published, distributed or made available in the Republic of Italy or to any Italian resident investor in circumstances which would be in breach of relevant Italian law and regulations. This Offering Memorandum and any of its contents is for information purposes only and should not be considered a solicitation, advice, offer or a recommendation for any security in Italy, where such offer, solicitation or recommendation would be unlawful, unless the securities offered, solicited or recommended have specifically been registered for distribution with the Italian Securities and Exchange Commission (Commissione Nazionale per le Societá e la Borsa, "CONSOB"). The investments and investment activity to which this Offering Memorandum and any of its contents relate will solely be for the benefit of qualified investors (investitori qualificati) and in compliance with applicable Italian laws and regulations.

Netherlands: The Fund Shares are only offered by means of this Offering Memorandum and are not, may not and will not be offered, distributed, sold, transferred or delivered, directly or indirectly, in or from the Netherlands, as part of the initial distribution or at any time thereafter other than (i) to "Qualified Investors" (gekwalificeerde beleggers), within the meaning of section 1:1 of the Act on the Financial Supervision (Wet op het financieel toezicht, AFS), provided that

these parties acquire the relevant Shares for their own account or that of another "Qualified Investor", (ii) to less than 150 individuals or legal entities who or which are not a "Qualified Investor", (iii) to investors who acquire Shares for a total consideration of at least EUR 100,000 per investor, for each separate offer, (iv) an offer of Shares whose denomination per unit amounts to at least EUR 100,000 and (v) an offer of Shares with a total consideration of less than EUR 100,000, which limit shall be calculated over a period of 12 months. The AIFM does not hold, and will not hold, a licence for collective investment schemes granted by the Netherlands Authority for the Financial Markets. This document is not addressed to or intended for any individual or legal entity in the Netherlands except individuals or legal entities who or which trade or invest in securities in the course of a profession or trade within the meaning of the Dutch securities legislation (which includes banks, brokers, insurance companies, pension funds, other institutional investors and treasuries and financing companies of groups which are active in a professional manner in the financial markets for their own account).

Spain: Each investor has acknowledged and agreed that this offer does not constitute a public offer to sell the transferable securities in Spain under the Spanish securities regulation. Neither the Shares offered pursuant to this marketing material nor the AIFM has been or will be registered under the relevant securities laws of Spain. Accordingly, this Offering Memorandum cannot be made available, nor can the Shares offered hereunder be marketed and offered for sale in Spain, other than under circumstances which are deemed not to be a public offer in Spain under Spanish securities or fund regulation. The Fund has not been authorized by nor registered with the Spanish Securities Market Commission as a foreign collective investment scheme in accordance with section 15.2 of Law 35/2003 of 4 November 2003 on Collective Investment Schemes. Accordingly, the Shares may not be offered or sold in Spain by means of any publicity activities as defined in section 3 of Royal Decree 291/1992 of 27 March 1992 on Issues and Public Offerings for the Sale of Securities, as amended.

Sweden: The Fund is not authorized under the Swedish Securities Funds Act, and any sale, redemption or repurchase of Shares will take place outside Sweden. The Offering Memorandum may not be distributed to the public in Sweden, and a Swedish recipient of the Offering Memorandum may not in any way forward the Offering Memorandum to the public in Sweden.

Switzerland : The Fund has not been and will not be approved for distribution to non-qualified investors in or from Switzerland by the Swiss Financial Market Supervisory Authority FINMA ("FINMA"). Accordingly, the Shares and this document and any other document or offering material relating to the Fund and/or the Shares may only be distributed in or from Switzerland to "qualified investors" as defined in the Federal Act on Collective Investment Schemes of 23 June 2006 and its implementing ordinances, as amended from time to time, and the most current practice of the FINMA and the competent courts. The Fund has not been authorised by the Swiss Federal Banking Commission as a foreign investment fund under the Swiss Mutual Fund Act of 18 March 1994. Accordingly, the Shares may not be offered or distributed on a professional basis in or from Switzerland and neither this Offering Memorandum nor may any other offering material relating to the Shares be distributed in such connection. Shares may be offered and this Offering Memorandum distributed in Switzerland only to a limited number of investors without any public offering.

United Kingdom: The Fund is an unrecognised collective investment scheme for the purposes of the Financial Services and Markets Act 2000 of the United Kingdom (the "Act"). The

promotion of the Fund and the distribution of this Offering Memorandum in the United Kingdom is consequently restricted by law.

For the purposes of investors in the United Kingdom, this communication is being made to and directed only at persons who: (i) have professional experience of participating in unregulated schemes falling within Article 14 of the Financial Services and Markets Act 2000 (Promotion of CIS) (Exemptions) Order 2001 (the "CIS Order") and fall within Article 19 of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "FPO"); or (ii) fall within Article 22(2)(a) to (d) (high net worth companies, unincorporated associations etc.) of the CIS Order and Article 49(5)(a) to (d) of the FPO; or (iii) persons to whom this report may otherwise be lawfully made to or directed at, provided that such persons are also "qualified investors" as defined in section 86 of the Financial Services and Markets Act 2000, all such persons together being referred to as Relevant Persons. The investments and investment activity to which this communication relates are available to, and will only be engaged in with, Relevant Persons. No other person should act or rely on it.

The AIFM is not regulated by the Financial Services Authority and investors in the Fund will not have the benefit of the Financial Services Compensation Scheme and may not have the benefit of other protections afforded by the Financial Services and Markets Act 2000 or any of the rules and regulations made thereunder.

The Shares are not dealt in on a recognised or designated investment exchange for the purposes of the Financial Services and Markets Act 2000, and it may therefore be difficult for an investor to dispose of his interests or to obtain reliable information about the extent of the risks to which his investment is exposed.

Acquiring Shares may expose an investor to a significant risk of losing all of the amount invested. Any person who is in any doubt investing in the Fund should consult an authorised person specialising in advising on such investments. This Offering Memorandum may also be issued in the United Kingdom directly by the Fund, and the Directors of the Fund are responsible for its contents to persons who are both a) intermediate customers or market counterparties for the purposes of the FSA Conduct of Business Sourcebook ("COBS") and b) of a kind to whom the Fund may lawfully be promoted by a person authorized under the Act (an "authorized person") by virtue of Section 238(6) of the Act and The Financial Services and Markets Act 2000 (Promotion of Collective Investment Schemes) (Exemptions) Order 2001 including other authorized persons, certain persons having professional experience of participating in unrecognized collective investment schemes, high net worth companies, high net worth unincorporated associations or partnerships, the trustees of high value trusts and certified sophisticated investors.

In order to qualify as a certified sophisticated investor a person must i) have a certificate in writing or other legible form signed by an authorized person to the effect that he is sufficiently knowledgeable to understand the risks associated with participating in unrecognized collective investment schemes and ii) have signed, within the last 12 months, a statement in a prescribed form declaring, amongst other things, that he qualifies as a sophisticated investor in relation to such investments. This Offering Memorandum is exempt from the scheme promotion restriction (in Section 238 of the Act) on the communication of invitations or inducements to participate in

unrecognized collective investment schemes on the grounds that it is being issued to and/or directed at only the types of person referred to above.

Any recipient of this Offering Memorandum who is an authorized person may (if and to the extent it is permitted to do so by the FSA rules applicable to it) distribute it or otherwise promote the Fund in accordance with Section 238 of the Act but not otherwise. Any recipient of this Offering Memorandum who is not an authorized person may not distribute it to any other person. The Fund is not regulated by the FSA's and investors may not have the benefit of the Financial Services Compensation Scheme and other protections afforded by the Act or any of the rules and regulations made thereunder.

United States: There will be no public offering of Shares in the United States. The Shares will not generally be available to US Persons unless they are an "accredited investor" and a "qualified purchaser" as such terms are defined under applicable US Federal securities laws.

WHILE THE FUND MAY TRADE COMMODITY FUTURES AND/OR COMMODITY OPTIONS CONTRACTS (THROUGH ITS INVESTMENTS IN UNDERLYING FUNDS), THE MANAGER IS EXEMPT FROM REGISTRATION WITH THE U.S. COMMODITY FUTURES TRADING COMMISSION ("CFTC") AS A COMMODITY POOL OPERATOR ("CPO") PURSUANT TO CFTC RULE 4.13(a)(4). THEREFORE, UNLIKE A REGISTERED CPO, THE MANAGER IS NOT REQUIRED TO DELIVER A CFTC DISCLOSURE DOCUMENT TO PROSPECTIVE SHAREHOLDERS, NOR IS IT REQUIRED TO PROVIDE SHAREHOLDERS WITH CERTIFIED ANNUAL REPORTS THAT SATISFY THE REQUIREMENTS OF CFTC RULES APPLICABLE TO REGISTERED CPOs. THE FUND QUALIFIES FOR THE EXEMPTION UNDER CFTC RULE 4.13(a)(4) ON THE BASIS THAT, AMONG OTHER THINGS (I) EACH SHAREHOLDER IS EITHER (A) A NATURAL PERSON WHO IS A "QUALIFIED ELIGIBLE PERSON" AS DEFINED IN CFTC RULE 4.7(a)(2) OR (B) A NON-NATURAL PERSON THAT IS EITHER AN "ACCREDITED INVESTOR" AS DEFINED UNDER U.S. SECURITIES AND EXCHANGE COMMISSION RULES OR A "QUALIFIED ELIGIBLE PERSON" AS DEFINED UNDER CFTC RULE 4.7; AND (II) INTERESTS IN THE FUND ARE EXEMPT FROM REGISTRATION UNDER THE U.S. SECURITIES ACT OF 1933, AS AMENDED AND OFFERED AND SOLD WITHOUT MARKETING TO THE PUBLIC IN THE UNITED STATES.